Internal Audit Report

تقرير التدقيق الداخلي

Q2 - 2017

الفصل الثاني ٢٠١٧

Byblos Bank Syria

بنك بيبلوس سورية

To the Audit Committee Members:

- Dr. François Bassil
- Mr. Muhammad Marwan Al Hakim
- Mr. Nader Kalai

إلى أعضاء لجنة التدقيق:

- الدكتور فرنسوا باسيل
- السيد محمد مروان الحكيم
- السيد نادر قلعي

cc:

- Mr. Semaan Bassil, Chairman of the Board
- Mr. Georges Sfeir, General Manager
- Mr. Selim Stephan, DGM - Head of Foreign Banking Units - BBL
- Mr. Walid Kazan, AGM - Head of Foreign Banking Units Support - BBL
- Mr. Fadi Abou-Abdallah, Head of Group Internal Audit

نسخة إلى السادة:

- السيد سمعان باسيل، رئيس مجلس الإدارة
- السيد جورج صفير، المدير العام
- السيد سليم إسطفان، نائب مدير عام - مدير الوحدات المصرفية الخارجية لمجموعة بنك بيبلوس
- السيد وليد قازان، مدير عام مساعد - مدير دعم الوحدات المصرفية الخارجية لمجموعة بنك بيبلوس
- السيد فادي أبوعبدالله - مدير التدقيق الداخلي لمجموعة بنك بيبلوس

Prepared by:

- Talal Aboulchamat, Head of Internal Audit - BBS

أعدّ من قبل:

- طلال أبو الشامات - مدير التدقيق الداخلي في بنك بيبلوس سورية

Reflects status of the bank as at June 30, 2017 and issued on July 12, 2017

هذا التقرير يظهر وضعية بنك بيبلوس سورية بتاريخ ٣٠ حزيران ٢٠١٧ وصادر بتاريخ ١٢ تمّوز ٢٠١٧

CONTENTS **المحتويات**

INTRODUCTION.....3 المقدمة.....٣

GENERAL OVERVIEW..... 4 نظرة عامة.....٤

BRANCH NETWORK..... 7 شبكة الفروع.....٧

OPERATIONS..... 7 العمليات..... ٧

INFORMATION TECHNOLOGY .....8 نظام المعلومات.....٨

COMMERCIAL PORTFOLIO.....9 محفظة التسليفات التجاري.....٩

APPENDICES.... .....9 الملحقات.....٩

INTRODUCTION

In the second quarter of 2017, we followed-up on all outstanding issues at BBS. The table below shows the number of issues raised by Internal Audit & CBoS, the number of issues solved by BBS Management, and the number of issues that were still outstanding as at June 30, 2017.

مقدمة

في الربع الثاني من العام ٢٠١٧، تمّت متابعة جميع النقاط العالقة في بنك بيبلوس سورية. إنّ الجدول المبيّن أدناه يظهر عدد نقاط الضعف التي تمّت الإشارة إليها من التدقيق الداخلي ومصرف سورية المركزي، وعدد النقاط التي تمّ تصويبها، وتلك التي ما زالت عالقة حتى تاريخ ٣٠ حزيران ٢٠١٧.

PROCESS BASED AUDIT ISSUES

	Q1 2017	Added	Solved	Adj *	Q2 2017
IT Audit					
High	2	0	0	0	**2**
Medium	13	0	2	0	**11**
Low	14	0	0	0	**14**
Total	**29**	**0**	**2**	**0**	**27**
Operations Audit					
High	5	0	0	-1	**4**
Medium	17	0	0	1	**18**
Low	15	0	0	0	**15**
Total	**37**	**0**	**0**	**0**	**37**
Credit Review					
High	0	0	0	0	**0**
Medium	9	0	0	0	**9**
Low	2	0	0	0	**2**
Total	**11**	**0**	**0**	**0**	**11**
CBoS Issues					
High	0	0	0	0	**0**
Medium	11	0	0	0	**11**
Low	0	0	0	0	**0**
Total	**11**	**0**	**0**	**0**	**11**
Total					
High	7	0	0	-1	**6**
Medium	50	0	2	1	**49**
Low	31	0	0	0	**31**
Total	**88**	**0**	**2**	**0**	**86**

AGING IN MONTHS

	0-6	06-12	12-24	>24	Total
IT Audit					
High	2	0	0	0	**2**
Medium	4	0	2	5	**11**
Low	5	0	1	8	**14**
Total	**11**	**0**	**3**	**13**	**27**
Operations Audit					
High	0	1	1	2	**4**
Medium	0	6	1	11	**18**
Low	0	1	2	12	**15**
Total	**0**	**8**	**4**	**25**	**37**
Credit Review					
High	0	0	0	0	**0**
Medium	7	0	2	0	**9**
Low	0	0	0	2	**2**
Total	**7**	**0**	**2**	**2**	**11**
CBoS Issues					
High	0	0	0	0	**0**
Medium	0	0	0	11	**11**
Low	0	0	0	0	**0**
Total	**0**	**0**	**0**	**11**	**11**
Total					
High	2	1	1	2	**6**
Medium	11	6	5	27	**49**
Low	5	1	3	22	**31**
Total	**18**	**8**	**9**	**51**	**86**

BRANCH AUDIT ISSUES **

	Q1 2017	Added	Solved	Adj *	Q2 2017
High	20	2	2	-1	**19**
Medium	35	3	5	1	**34**
Low	35	11	9	0	**37**
Total	**90**	**16**	**16**	**0**	**90**

** Adjusted issues include upgraded, downgraded and merged issues*

*** Compliance based issues where the count may include the same issue recurring in several branches*

GENERAL OVERVIEW

CBoS Internal Controller Reports

During Q2 2017, CBoS internal controller issued four reports pertaining to financial reports as of end of March and April 2017, classification of loans and provisioning for Q1 2017, and compliance to decree #903 related to selling foreign currencies to banks' staff.

The main observations can be summarized as follows:

- BBS exposure with BBL exceeded 100% of net equities on end of March and April 2017. Noting that the excess was attributed to an increase in the Bank's deposits and placements, as well as to the fluctuation of the exchange rate.
- Breach to CBoS decision #762 for cases of selling foreign currencies to non-Syrian that were withdrawn cash instead of transfers.
- Inaccurate reporting to CBoS of net operational FX position as of end of February 2017.
- Inaccurate reporting of cash collaterals and disbursement of approved loans in an overdraft account instead of a current account.
- Inaccurate quarterly reports related to selling foreign currencies to BBS staff upon their missions outside Syria.

Georges Sfeir (General Manager)

CBOS Internal Controller Reports

1- We sent a letter to CBOS, for March and for April, that we increased our Net Shareholders Equity as of 30.03.2017 (opinion date of EY) due to adding 2017 results to Equity. Thereby we are covered and no breach.

2- The SWAP deal was booked incorrectly on Globus (bought instead of buy and vice versa) so the FX position report was sent by the Treasury Unit as is on the system whereas the Balance Sheet was adjusted by the Accounting Unit in order to take into consideration the error in SWAP. The result was a difference in positions (between FX report and Balance Sheet).

نظرة عامّة

تقارير المراقبين الداخليين لمصرف سورية المركزي

خلال الفصل الثاني من العام ٢٠١٧، أصدر المراقبون الداخليّون لمصرف سورية المركزي ٤ تقارير تتعلّق بنماذج الأوضاع الماليّة كما هي في نهاية شهري آذار ونيسان ٢٠١٧، وتصنيف الديون والمؤونات للفصل الأوّل من العام ٢٠١٧، والإمتثال للقرار رقم ٩٠٣ المتعلّق ببيع العملات الأجنبية لموظفي المصرف.

يمكن تلخيص الملاحظات الرئيسية على الشكل التالي:

- قيمة توظيفات وإيداعات بنك بيبلوس سورية مع بنك بيبلوس لبنان تجاوزت نسبة ١٠٠% من أمواله الخاصّة الصافية بنهاية شهري آذار ونيسان من العام ٢٠١٧. مع ملاحظة أنّ التجاوز ناتج عن زيادة في إيداعات وتوظيفات المصرف، بالإضافة إلى التغيّرات في أسعار الصرف.
- مخالفة القرار رقم ٧٦٢ لمصرف سورية المركزي لوجود حالات بيع القطع الأجنبي لغير السوريين وسحب المبلغ نقداً وليس عن طريق حوالات مصرفية.
- تقديم تقارير غير دقيقة لمصرف سورية المركزي فيما يتعلّق بمركز القطع التشغيلي الصافي المحتسب بنهاية شهر شباط من العام ٢٠١٧.
- تقديم تقارير غير دقيقة للتأمينات النقدية، وصرف القروض الموافق عليها في حسابات الجاري المدين عوضاً عن صرفها من خلال الحسابات الجارية.
- تقديم تقارير فصليّة غير دقيقة إلى مصرف سورية المركزي تتعلّق ببيع العملات الأجنبية إلى موظفي المصرف لدى قيامهم بمهام خارج سورية.

جواب السيّد جورج صفير - المدير العام

تقارير المراقبين الداخليين لمصرف سوريا المركزي

١- أرسلنا كتاباً إلى مصرف سورية المركزي عن شهري شباط ونيسان نفيد فيه بأنّنا زدنا صافي حقوق المساهمين كما هو بتاريخ ٣٠ آذار ٢٠١٧، وذلك بسبب زيادة نتائج العام ٢٠١٧ إلى صافي حقوق المساهمين. وعليه، لا يوجد أيّ خرق.

٢- عمليات القطع الأجنبي SWAP قد تمّ إدخالها خطأ بنظام غلوبس (إشترى بدلاً من شراء والعكس صحيح)، وهكذا، فإنّ تقرير مركز القطع الأجنبي قد أرسل من مديرية القطع كما هو مدوّن على النظام، في حين أنّ الميزانية قد عُدّلت من قبل المحاسبة لكي يأخذ بعين الإعتبار الخطأ الحاصل في عمليات الـ SWAP. النتيجة وجود فرق في المركزين (بين تقرير القطع الأجنبي والميزانية).

Credit and Money Council decision & letter

- BBS received in Q2 2017 the decision No 1468 issued by the Credit and Money Council, which requires from Banks the following:

  - Restructuring the Compliance entity to integrate in addition to the Compliance responsibilities, CBoS internal controllers and reporting officer duties, and taking necessary measures to activate this function and ensure that duties required by official authorities are duly fulfilled.
  - The Compliance should directly report to the Board of Directors and the latter can assign the Audit Committee to supervise the Compliance activity and performance, as well as to follow-up on Management response towards the weaknesses and irregularities raised in the Compliance reports.
  - The Compliance is responsible for monitoring the Bank's abidance by all the laws and regulations and by the internal procedures mainly those related to anti-money laundering and fighting terrorism financing. In addition, the Compliance should monitor the risks related to the bank's activity and submit the required reports in this regards to the Board of Directors, CBoS Banking Supervision Department, and committee of anti-money laundering and fighting terrorism financing (if necessary).
  - The Compliance entity should include three sections:
    - Internal Controllers.
    - AML Compliance.
    - Compliance (e.g. regulatory compliance, FATCA)

    The Head of Compliance will be responsible of performing the reporting (مسؤول الإبلاغ) in terms of anti-money laundering and financing terrorism.
  - Compliance staff including the Head of Compliance is restricted for two years after their resignation, to work for the Bank or any affiliated company.

قرار وكتاب مجلس النقد والتسليف

- في الفصل الثاني من العام ٢٠١٧ تلقى بنك بيبلوس سورية القرار رقم ١٤٦٨ الذي أصدره مجلس النقد والتسليف، والذي طلب من المصارف ما يلي:

  - إعادة هيكلة مراقبة الإلتزام لتشمل بالإضافة إلى مسؤوليات مراقبة الإلتزام، مهام مراقب المصرف الداخلي لمصرف سورية المركزي ومهام مسؤول الإبلاغ، واتّخاذ الإجراءات اللازمة لتفعيل هذه الوظيفة وضمان قيامها بالأعمال الموكلة إليها من الجهّات الرسمية على النحو المطلوب.
  - أن ترتبط مديرية مراقبة الإلتزام مباشرة بمجلس إدارة المصرف ويمكن للمجلس تفويض مسؤولية متابعة أعمال المديرية للجنة التدقيق الداخلي لمراقبة أداء ونشاط مديرية الإلتزام، وكذلك، متابعة اتخاذ الإدارة التنفيذية للإجراءات اللازمة لتصحيح مواطن الخلل والقصور المبينة في التقارير الصادرة عنها.
  - مديرية الإلتزام مسؤولة عن متابعة مدى إلتزام المصرف بالأنظمة والقوانين النافذة، وكذلك الإلتزام بالإجراءات الداخلية وضوابط العمل المعتمدة لدى المصرف، وخاصّة تلك المتعلّقة بمكافحة غسل الأموال وتمويل الإرهاب.
    بالإضافة إلى ذلك يتوجب على مديرية مراقبة الإلتزام مراقبة المخاطر المرتبطة بأنشطة المصرف وإعداد التقارير المطلوبة منها بهذا الخصوص، ورفعها إلى مجلس إدارة المصرف ومفوضية الحكومة لدى المصارف وهيئة مكافحة غسل الأموال وتمويل الإرهاب (في حال الضرورة).
  - تتألف مديرية الإلتزام من الوحدات التالية:

    - وحدة المراقبين المصرفيين الداخليين.
    - وحدة التحقق من الإلتزام بمتطلبات مكافحة غسل الأموال وتمويل الإرهاب.
    - وحدة مراقبة الإمتثال.

    يشغل مدير مديرية مراقبة الإلتزام وظيفة مسؤول الإبلاغ فيما يتعلّق بمكافحة غسل الأموال وتمويل الإرهاب.
  - يحظّر على العاملين في مديرية الإلتزام وعلى مديرها أيضا العمل لدى المصرف أو أي من الشركات التابعة أو الزميلة أو الشقيقة قبل مضيّ سنتين على تاريخ ترك العمل من هذه الوظيفة.

- The Board of Directors is responsible for ensuring the implementation of appropriate remuneration policies for all the staff working within the Compliance entity.

- مجلس إدارة المصرف مسؤول عن التأكد من ضمان وجود سياسات واضحة وعادلة للمكافآت والتعويضات والرواتب للعاملين في مديرية مراقبة الإلتزام.

- BBS also received a letter from Credit and Money Council pertaining to new requirements for Banks granting overdraft facilities. The letter requires from Banks to currently abide by the following (among others):

- بنك بيبلوس سورية إستلم أيضا كتاباً من مجلس النقد والتسليف يتعلّق بالمتطلبات الجديدة لمنح تسهيلات الجاري المدين. كما يطلب الكتاب من المصارف الإلتزام حالياً بما يلي (ضمن أمور أخرى):

- Exert due diligence to ensure that the new facilities or the renewed ones are for financing working capital.

- بذل العناية الواجبة للتأكد من أنّ التسهيلات الجديدة أو تلك المجدّدة تتمّ لغايات تمويل رأس المال العامل.

- Ensure the existence of supporting documents proving that clients are in business for minimum three years, with active cash flows in their accounts during the last three years according to CBoS standards.

- التأكد من وجود وثائق وسجلات تثبت مباشرة العملاء لنشاطهم قبل ثلاث سنوات من تاريخ المنح/التجديد، مع وجود حركة تدفقات نقدية نشطة في حساباتهم خلال السنوات الثلاث الماضية وفقاً لمعايير مصرف سورية المركزي.

- Ensure that the client can benefit from an overdraft facility in only one bank in Syria; this commitment should be written and signed by the client.

- التأكد من أنّ العميل مستفيد من تسهيلة جاري مدين من مصرف واحد في سورية؛ وعلى العميل كتابة هذا التعهّد بخطّ يده والتوقيع عليه أصولاً.

- Ensure that the average balance of utilized overdraft account did not exceed more than five times the average outstanding balances of the client's credit accounts in all banks in Syria.

- التأكد من عدم تجاوز وسطي رصيد المكوث للحساب الجاري المدين المستعمل خمسة أضعاف وسطي رصيد المكوث للحسابات الدائنة للعميل في جميع المصارف العاملة في سورية.

- Ensure if the granted overdraft facility exceeds SYP 10M, it is reported to CBoS during the first three working days of the next month; if it exceeds SYP 50M, it should be approved by the bank's Board of directors before being reported to CBoS.

- التأكد من إعلام مصرف سورية المركزي في حال تجاوز مبلغ الجاري المدين الممنوح/المجدّد للمتعامل الواحد عشرة ملايين ليرة سوريّة وذلك خلال ثلاثة أيّام عمل من الشهر الذي يلي تاريخ المنح؛ وفي حال تجاوز المبلغ الممنوح خمسين مليون ليرة سوريّة يجب الحصول على موافقة مسبقة من مجلس إدارة المصرف قبل إعلام مصرف سورية المركزي.

- Monitor overdrafts in order to ensure that they are not switched to credit lines and assess them every six months, noting that they are considered not active and non-performing in some specific cases such as: if the average balance exceeds 60% of granted limit, excess over limit for more than 10% etc.

- مراقبة عدم تحوّل حسابات الجاري المدين إلى قروض وتقييمها كلّ ستّة أشهر، مع ملاحظة إعتبارها ضعيفة الحركة وضمن الديون غير المنتجة في بعض الحالات المحدّدة مثل: تجاوز وسطي رصيد المكوث ٦٠% من السقف الممنوح، أو تجاوز في حساب الجاري المدين عن السقف الممنوح بنسبة ١٠% أو أكثر الخ.

- Ensure that classified overdraft can only be rescheduled through a fixed term loan for a tenor not exceeding two years.

- التأكد من أنّ إعادة جدولة الجاري المدين المصنّف تتمّ حصراً على شكل قرض محدّد المدّة لفترة سنتين كحدٍّ أقصى.

- Ensure that an overdraft limit cannot be increased before one year after disbursement or renewal.
- Ensure that total overdraft facilities granted by the bank did not exceed 30% of total performing direct credit facilities; Banks should sort out their situation within six months.

In this regards, CBoS issued another circular stating that banks should start monitoring the overdrafts with low activity starting September 2017, to ensure that they comply with the current regulations.

- التأكد من عدم رفع سقف تسهيلة الجاري المدين قبل مرور سنة كاملة على المنح أو التجديد.
- التأكد من أن تسهيلات الجاري المدين لا تتجاوز في مجموعها ٣٠% من إجمالي تسهيلات المصرف المباشرة المنتجة؛ تعطى المصارف مهلة ستّة أشهر لتسوية أوضاعها.

أصدر مصرف سورية المركزي تعميماً ألزم به المصارف بالبدء بمراقبة تسهيلات الجاري المدين الضعيفة الحركة ابتداءً من شهر أيلول من العام ٢٠١٧، للتأكّد من إلتزامها بالقوانين الحالية.

Georges Sfeir (General Manager)

Credit and Money Council Decision & Letter

The General Managers of Syrian Banks are currently holding meetings to discuss decision No 1468 and final reports will be forwarded to central bank.

جواب السيّد جورج صفير - المدير العام

قرار وكتاب مجلس النقد والتسليف

يجتمع المدراء العامّون للمصارف السوريّة حاليّاً لمناقشة القرار رقم ١٤٦٨، وسوف يتمّ إرسال تقرير نهائي بهذا الخصوص إلى مصرف سورية المركزي.

BRANCH NETWORK

During Q2 2017, we issued the reports related to Abbasiyeen, Abou Remmaneh, Aleppo branches and finalized the audit over Swedaa branch. The overall control environment was Acceptable. In addition, we started the audit over Mazzeh branch.

شبكة الفروع

خلال الفصل الثاني من ٢٠١٧ أصدرنا تقارير عن فروع العبّاسيين، أبو رمّانه، حلب وأنهينا التدقيق على فرع السويداء. وكانت البيئة الرقابية مقبولة بالإجمال. بالإضافة إلى ذلك بدأنا التدقيق على فرع مزّة.

The below table shows the audit on the branches with their related rating:

إنّ الجدول المبيّن أدناه، يُظهر التدقيق على الفروع مع درجة التقييم:

No	Branches	2015	2016	2017
1	Abou Remmaneh	2.54	2.55	**2.96**
2	Mazzeh	2.82	2.41	**In Progress**
3	Homs	2.18	2.98	-
4	Aleppo	2.98	3.22	**3.14**
5	Lattakia	3.31	3.20	-
6	Tartous	3.32	2.96	-
7	Abbasiyeen	3.26	3.15	**3.10**
8	Hama	2.46	2.92	-
9	Hosh Blass	2.68	Closed	**Closed**
10	Sweeda	3.04	3.06	**2.86**

Rating: Poor <1.5 –1.5≤ Below Acceptable<2.5 –2.5≤Acceptable<3.5 – Above Acceptable ≥3.5

OPERATIONS

During Q2 2017, we started the audit over the Compliance function.

العمليات

خلال الفصل الثاني من العام ٢٠١٧، بدأنا التدقيق على وظيفة مراقبة الإلتزام.

INFORMATION TECHNOLOGY

Business Continuity & Disaster Recovery Plans (BCP-DRP)

BBS Disaster Recovery (DR) room's renovation was accomplished and the UPS units, equipment's racks were delivered. However, the procurement of other equipment such as servers, storage, telecom lines and equipment, is expected to be finalized in Q3 2017. The installation of all equipment and fixtures is expected to be completed in Q4 2017, whereby a drill will be conducted and finalized in Q1 2018. On the other hand, Disaster Recovery (DR) server for BBS Microsoft Exchange system (emails system) is part of the DR project and is expected to be completed upon BBS DR readiness. Currently, BBS Microsoft Exchange system backup is being performed on a daily basis, and can be recovered from the backup tapes, depending on the failure scenarios.

On the other hand the Debit Cards Management System (DCMS) used in BBS lacks several controls. An SMS[1] is not being sent upon customers' ATM financial transaction(s), which increases the risk of not identifying potential fraudulent transactions on timely basis. In addition, some active cards were identified having wrong format mobile phone numbers. Moreover, the actions and tables to be audited over the database level were not identified and set for auditing.

نظام المعلومات

خطط إستمرارية العمل وتجنّب الكوارث

عملية التجديد في غرفة إدارة الكوارث في بنك بيبلوس سورية قد اكتملت، كما تمّ تسليم UPS وRacks. ولكنّ الحصول على معدّات أخرى (مثل المخدّمات، ومعدات التخزين، وخطوط الإتّصالات، ومعدّات أخرى) من المتوقع له أن يكتمل في الفصل الثالث من العام ٢٠١٧. وأيضاً، بالنسبة للتمديدات والتركيبات لكافة المعدّات من المتوقع لها أن تكتمل في الفصل الرابع من العام ٢٠١٧، وسوف يتمّ اختبارها في صيغتها النهائية في الفصل الأوّل من العام ٢٠١٨. من ناحية أخرى، فإنّ المخدّم الخاص بخطّة إدارة الكوارث في بنك بيبلوس سورية فيما يتعلّق بنظام رسائل البريد الإلكتروني هو جزء من مشروع إدارة الكوارث ومن المتوقع أن يكتمل عند جهوزية هذه الخطّة. حالياً يتمّ التخزين الإحتياطي لنظام (Microsoft Exchange) بشكل يومي، ويمكن أن يتمّ استعادته من شرائط التخزين الإحتياطي، تبعاً لسيناريو فقدانها.

من جهّة أخرى، فإنّ نظام إدارة البطاقات المصرفية على الحسابات الدائنة (Debit Card) المستخدم في بنك بيبلوس سورية يفتقد إلى عدّة إجراءات رقابية. لا يتمّ إرسال رسائل نصّية عند استخدام الصرّاف الآلي بعمليات مالية، ممّا يزيد في مخاطر عدم إكتشاف عمليات الإختلاس المحتملة في الوقت المناسب. بالإضافة إلى ذلك، تمّ تحديد عدد من البطاقات الناشطة والتي تمّ تسجيل أرقام الهاتف المحمول المرتبط بها بشكلٍ خاطئ. كما أنّه لم يتمّ تعيين وتحديد الإجراءات والجداول التي سوف تخضع للحفظ والتدقيق عند الحاجة على مستوى قاعدة البيانات.

Georges Sfeir (General Manager)

Information Technology

Business Continuity & Disaster Recovery Plans (BCP-DRP)

We agreed with the IT of BBL about the timeline of the DRP and was sent to CBOS.

We are waiting for BBL to purchase the equipments (Servers and Storage).

جواب السيّد جورج صفير - المدير العام

تكنولوجيا المعلومات

خطط استمرارية العمل وتجنب الكوارث

تمّ التوافق مع قسم تكنولوجيا المعلومات في بنك بيبلوس لبنان على الجدول الزمني لخطّة تجنّب الكوارث وتمّ إرسالها إلى مصرف سورية المركزي. ونحن بإنتظار بنك بيبلوس لبنان لشراء المعدّات اللازمة (الخوادم ووحدات التخزين).

[1] *Short Message Service or Text Message received on the mobile of the cardholder.*

COMMERCIAL PORTFOLIO

During Q2 2017, we issued the audit report over the Commercial loan portfolio. The overall rating remained acceptable but slightly regressed as compared to our previous audit. We found large delays in the files' renewals, some discrepancies in the collateral documentation, CPPM update not yet finalized and implemented, and breach of the current procedure (some excesses approved solely by BBS without being circulated to BBL CCC). However, the issue related to the application of non-standard interest rates and commissions on non-performing loans was recently raised and discussed with CCC.

During the period March 31, 2017 until May 31, 2017, commercial classified direct O/S slightly decreased from SYP 19,093M to SYP 19,085M, and from 62% to 61% of the total commercial portfolio direct O/S, divided between Non-Performing (45%) and Watch list loans (16%). It is worth mentioning that a remedial of SYP 416.5M was noted; yet, it was offset by the increase of classified O/S resulting from the interests posted during this period.

Georges Sfeir (General Manager)

Commercial Portfolio

CPPM is expected to be approved by the coming board during July.

More provision reversals are expected in the second quarter due to collection and rescheduling.

Many new deals were booked and shall be reflected in second quarter.

المحفظة التجارية

خلال الفصل الثاني من العام ٢٠١٧، أصدرنا تقرير التدقيق الداخلي عن محفظة القروض التجارية. والتقييم بقي في درجة المقبول بالإجمال، مع بعض التراجع مقارنة مع التقييم الصادر في مهمّة التدقيق السابقة. وجدنا تأخّر كبير في تجديد الملفات، وبعض المخالفات في مستندات الضمانات، لم يتمّ الإنتهاء من إعداد وتطبيق دليل سياسات وإجراءات التسليف، وعدم الإلتزام بإجراءات العمل الحالية (بعض التجاوزات تمّ الموافقة عليها من قبل بنك بيبلوس سورية دون الرجوع بذلك إلى لجنة التسليفات التجارية المركزية في بنك بيبلوس لبنان). من ناحية أخرى، فإنّ المخالفة التي تتعلّق بالفوائد المطبّقة على الديون غير المنتجة تمّ رفعها ومناقشتها مع لجنة التسليف المركزية.

خلال الفترة الممتدّة من ٣١ آذار ولغاية ٣١ أيّار من العام ٢٠١٧، انخفضت الديون التجارية المباشرة المصنّفة بنسبة قليلة (من ١٩،٠٩٣ مليون إلى ١٩،٠٨٥ مليون ليرة سوريّة) ومن ٦٢% إلى ٦١% من إجمالي مجموع المحفظة التجارية للديون المباشرة، وهي موزّعة بين ديون متعثّرة بنسبة ٤٥%، وقروض تتطلّب إهتماماً خاصّاً بنسبة ١٧%. تجدر الإشارة إلى تحصيل ٤١٦.٥ مليون ليرة سوريّة استهلك بزيادة في الديون التجاريّة المباشرة المصنّفة نتيجة الفوائد المستحقّة خلال هذه الفترة.

جواب السيّد جورج صفير - المدير العام

المحفظة التجارية

الموافقة على دليل سياسات وإجراءات التسليف متوقّعة مع إنعقاد جلسة مجلس الإدارة القادمة في شهر تمّوز ٢٠١٧.

المزيد من عكس للمؤونات متوقّع في الفصل الثاني نظراً لعمليات التحصيل وإعادة الجدولة.

تمّ منح العديد من القروض الجديدة والتي سوف يكون لها إنعكاس في الفصل الثاني.

APPENDICES

الملحقات

Appendix I - Index of Outstanding Issues — ملحق ١ - المخالفات العالقة

Appendix II - Index of Cleared / Downgraded Issues — ملحق ٢ - المخالفات التي تمّ حلّها / خفّضت مخاطرها

Appendix III - Index of Branch Issues — ملحق ٣ - المخالفات العالقة في الفروع

Appendix IV - Index of CBoS Outstanding Issues — ملحق ٤ - المخالفات الصادرة عن المصرف المركزي السوري

APPENDIX I - INDEX OF OUTSTANDING ISSUE

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
1	BBS	OA	>24	H		***Insufficient recording duration of the DVRs (085-MEM-BBS-06-09) & Surveillance Camera Coverage at the Branches (112-MEM-BBS-10-09) (085-MEM-BBS-06-09):*** The duration of the DVR recording was insufficient and varied from one location to another. Moreover the surveillance cameras installed at the branches were either not properly functioning, not well focused and/or not covering all the important locations of the branches. In addition, the quality of the pictures is low and does not show the needed details. ***Audit comments***: We checked the DVRs on 2-7-2017 and noted that the DVRs of Aleppo branch are not recording during the weekends and after working hours. In addition, Tartous DVR was not recording for 15 days (12 April till 25 April); moreover, the DVRs of the Head office IT, Sheraton Sednaya Hotel ATM are not recording for 90 days as required. Furthermore, the DVRs of Hosh Blass Branch, and the archives are not recording at all.	***Georges Sfeir (General Manager):*** Regarding Hosh Blass, there is no connection (leased line) in the area. Regarding Aleppo, there is no electricity in the region and we cannot keep the generator running for the whole day and weekends so we are running it only during working hours. Regarding Head-office IT DVR, an unexpected error occurred and we have fixed it and will be recording up to 90 days. Tartous and Sednaya will be fixed ASAP.	Regular
2	BBS	OA	>24	H		***BBS Archives (030-MEM-BBS-OA-002-14):*** Discrepancies were noted regarding physical & environmental security controls	***Georges Sfeir (General Manager):*** I recommend to re-assess the archiving issue since many of the	Regular

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
						over BBS archives as follows: Hosh Blass: the access to archives became very difficult and not secured. DVRs recordings are not accessible, due to electricity failures and absence of internet connection. Abou Remmaneh (Basement): No cameras inside the archive room. Abou Remmaneh (Mezzanine): The mezzanine lacks the physical and environmental security controls (no fire proof cabinets or partitions, no fire alarms or extinguishers, absence of waterdetector, no cameras). No access cards are available for Abou Remmaneh and Hosh Blass archives' areas. No centralized database and documented procedure. An electronic archiving solution along with a clear process should be implemented. ***Audit Comments***: We visited, on 4/7/2017, BBS main archives and noted: Hosh Blass basement (main BBS archive): The existence of three areas of unorganized original documents (in boxes and plastic bags). In addition, the automatic fire extinguishers were expired (in the previous month) and removed. Hosh Blass ground floor (previously Hosh Blass branch): It was excessively full of unorganized boxes, branches' yellow vouchers (stocked in plastic bags, in	mentioned issues are solved (pictures were sent to Talal regarding the main archive in Hosh Blass since it was well organized).	

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
						addition to the lack of any coverage of automatic fire extinguishers. Moreover, neither alarm, detectors, nor DVR were functioning in Hosh Blass premises. Abou Remmaneh mezzanine was not set up properly for documents' Archiving. (sanitary and old disposable items were available in the mezzanine). Abou Remmaneh basement: Unorganized boxes existed inside the basement, in addition to using a considerable part of the archive for old devices and stationary instead of original documents.		
3	BBS	OA	12-24	H		***Reporting System (126-BBS-OA-015-15):*** CBoS reports are manually prepared using data gathered from different sources (T24, Access, Excel etc.), which might lead to errors and penalties. Accounting should coordinate with BT in order to automate the generation of reports and limit the manual interventions.	***Georges Sfeir (General Manager):*** Since we didn't get any feedback from BT or MIS in BBL regarding the automation of the reports, we started the automation of the main reports on Access Database and more than 60% of the reports are now being automatically generated from Access database. Noting that we sent 3 accountants to attend an advanced Access Course.	System Implementation
4	BBS	OA	6-12	H		***System (185-BBS-OA-020-15):*** Trilog & Inventory systems lack segregation of duties, dual control and audit trail. In addition statistical reports (newly purchased items, moved items, etc.) cannot be automatically extracted	***Georges Sfeir (General Manager):*** We agree with the recommendation. However, it should be noted that BBL has been working with the mentioned systems for a long period until they	Regular

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
						and necessitate manual intervention. We recommend Finance & Administration to coordinate with BT in order to address the above mentioned irregularities.	recently implemented Oracle. I highly recommend Oracle to be implemented in BBS.	
5	BBS	ITA	0-6	H		***Debit Cards Having Wrong Phone Number Format (120-BBS-IT-016-16):*** We noticed that around 234 active cards with phone numbers fields equal "blank" or have "wrong format numbers". In addition, we noticed that SMS is not being sent to customers upon any ATM transaction or amendment on cards, which is not compliant with the DEBIT CARD BBS-PSY 15 procedure. We recommend BBS cards operations to follow up on erroneous and blank GSM numbers. Therefore, exceptions should be sent to correspondent branches to be amended accordingly. In addition, we recommend to request from BT the possibility of restricting "blank" or "wrong format numbers" values from being inputted in the phone number fields. BBS management should check with CSC the possibility of enabling the SMS on customers' transactions.	***Georges Sfeir (General Manager):*** Since the POS is not available in Syria now. That risk is considered low. Plus, it's a high cost service, so the management decided to disable the SMS for the time being. On Q3-2017, we will ask the BT to restrict inputting "blank" or "wrong format numbers" values in the phone number fields. (we are waiting from CSC to send us the cost of SMS)**.**	System Enhancement
6	BBS	ITA	0-6	H		***Open2 Password Policy Weaknesses (120-BBS-IT-016-16):*** We noticed that the applied password policy is not properly working on the	***Raffoul Raffoul (AGM - Head of Group Organization Dvpt, Info Systems & Operational Support):*** Issue is under testing, expected to	System Enhancement

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
						"password minimum length" and the "required special character". We were able to insert a password of 1 number with no special character. Consequently, users can input any password disregard the minimum and maximum length and the required numeric and special characters. We recommend BT in coordination with Information Security Department (ISD) to apply the password parameters recommended by the Logical Access policy. In addition, BT in coordination with the provider should ensure that password policies will be applied on CAMS application (Change/ Rest password).	go live in April 2017.	
7	BBS	ITA	>24	M	12/31/2017	***T24 live and backup servers are located in the same room (069-BBS-IT-010-13):*** It was brought to our attention, during our fieldwork, that the T24 live and backup servers are located in the same room. We recommend the Business Continuity Unit, BT, and BBS to study the possibility of installing the backup server in a room other than the one containing the live server, in order to avoid the loss of data, and avoid any unexpected interruptions in the bank's operations.	***Georges Sfeir (General Manager): Seif Altabbakh (Deputy Head of IT Support Unit):*** Will be resolved when Tartous DRC is completed. Machhour Salem (Acting Head of Infrastructure & Systems): This should be solved in Q4 2017, where a T24 DR server will be installed in BBS Tartous DRC in Q3 2017, and a disaster recovery drill will be performed afterward in Q4 2017.	Regular
8	BBS	ITA	>24	M	12/31/2017	***Weaknesses in the critical services' classification, assessment, and***	***Raffoul Raffoul (AGM - Head of Group Organization Dvpt, Info***	Regular

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
						contingency (069-BBS-IT-010-13): We noticed that the current information systems' services in BBS are classified in terms of criticality; however, the related contingency plans, except for T24 & Swift, are not yet in place. We recommend the Head of the BCP Unit with the support of BT, and BBS management to ensure that all critical services have the appropriate contingency plans, in addition to study the possibility of installing a backup server for each of the above presented systems, in order to avoid the loss of data and avoid any unexpected interruptions in the bank's operations. It is worth mentioning that these systems are already classified as critical systems by BT and ISD.	***Systems & Operational Support):*** ***Seif Altabbakh (Deputy Head of IT Support Unit):*** No Change. ***Machhour Salem (Acting Head of Infrastructure & Systems):*** T24, Exchange, Payroll, Open2, Sigcap and Retail should be hosted in BBS Tartous DRC, in which are expected to be installed and configured there in Q3 2017. Accordingly their DR Plans and DR drills will be completed in Q4 2017.On the other hand, Swift, Siebel and Open2 DR setups are available in BBL Voie13 DRC, these services have DR plans and are being drilled frequently . ***Jean-Michel Kaoukabani (Head of Information Security):*** The issue should be followed directly with BT DR unit.	
9	BBS	ITA	>24	M		***Missing audit trail at the database level in the Web Retail Information System (104-ITA-08-08):*** Users' privileges are not logged or monitored at the database level. In addition, connections auditing failure/success have not been configured on the SQL Server. Audit trail at the	***Georges Sfeir (General Manager):*** ***Seif Altabbakh (Deputy Head of IT Support Unit):*** Pending. ***Machhour Salem (Acting Head of Infrastructure & Systems):*** - Auditing on Successful/Failed Logins is already enabled.- For the	System Enhancement

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
						database level should be implemented, to ensure that major tasks are logged and could be trailed. We recommend selecting of specific events and objects to be audited in order to avoid generating huge amounts of log entries that consume valuable server resources. In addition, we recommend enabling the Connections Auditing (failure and/or success) as it constitutes the key element of security on the SQL Server and must be regularly reviewed by concerned parties. ***Audit Comments***: BBS should contact BT to solve the issue.	DB Auditing, this SQL Server is version 2000 therefore the only auditing option available is C2 which is heavy on performance and could affect the application availability so not recommended at all. But, in case confirmed to be required, then could be enabled easily.	
10	BBS	ITA	>24	M		***No proper credit and charge cards management system (059-ITA-07-09):*** Part of the charge/credit cards process is manual which might be subject to human error. Thus, a delivery date for acquiring a Card Management System to manage credit and charge cards is to be specified.	***Georges Sfeir (General Manager):*** Farah Sleiman: The manual part is double checked and controlled by cards operations' staff and this problem won't be solved till a new system applied for BBS postponed until further notice since no system enhancement will be done during 2017 due to other priorities .	System Implementation
11	BBS	ITA	>24	M		***CID application was not in place (044-IT-BBS-04-10):*** We noted that the Credit Information Department (CID) was using different data sources to search on customer information. The search was being manually performed and with no support	***Georges Sfeir (General Manager):*** The same situation as the last reply, no action from BBL until now.	System Implementation

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
						system. It is worth mentioning that a new CID application is being developed for BBL and it can be used, once finalized, in BBS after assessing the interfaces. A CID application is recommended to be deployed in BBS in order for customer information to be centralized in one application/database. This application should have an efficient and effective search engine.Therefore, we recommend CID department to follow up with BBL on the CID application delivery date.		
12	BBS	OA	>24	M		***Financial Reporting (085-OA-13-06):*** The accounting department in Byblos Bank S.A.L. is still receiving monthly manually prepared financial reports from Byblos bank Syria rather than system generated reports.	***Georges Sfeir (General Manager):*** Issue to be solved once the Oracle data warehouse is implemented in BBS. However, it should be noted that we started automation of many reports on Access Database which reduced the manual intervention and the probability of human error.	System Implementation
13	BBS	OA	>24	M		***Budget for LRU (BBS Loan Recovery - 2013):*** The Loan Recovery Unit did not set annual performance budget to ensure that the unit isworking in line with the Bank's strategy towards recovery of non-performing loans. LRU should prepare a yearly plan to be approved by BBS Management and cascaded down into	***Georges Sfeir (General Manager):*** As for the idea is very good and in our attention but in fact now we are in front of files are very complex and not subject to a single standard of work, it is linked to other things outside the bank in addition to the number of employees, but in principle it is a	Regular

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
						KPIs for each LRU officer allowing the assessment of the unit's performance.	good idea in the case of the existence of files and normal conditions to be evaluated productivity and performance on the basis	
14	BBS	OA	>24	M		***Defaulting commercial clients (BBS Loan Recovery - 2013):*** Defaulted commercial clients were not flagged on Globus as LR nor subject to override messages requiring proper approvals and to control related deposits and withdrawals thus, jeopardizing the monitoring of accounts' movements. Moreover, the defaulted commercial clients' files were solely handled by the commercial department causing a potential conflict of interest. Ultimately, such cases should be transferred to LRU according to a validated process.	***Georges Sfeir (General Manager):*** The issues raised is due to the inexistence of Commercial LRU department within the Organization Chart of BBS, accordingly the process is handled by Commercial Department as they have the relation with clients and the need to maintain the relation, if possible, and collect whatever possible.- Regarding the Potential Collusion mentioned in your assessment, there is no probability of this illusion for the following reasons:*The different layer in the commercial department which means that each file is handled by an RM supervised by a Senior RM, Head of Unit, and Head of Commercial Department.* There is close follow up done by each layer of the commercial department.* Unpaid of commercial portfolio is being followed up frequently and closely by Risk Department and	Procedure

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
							Credit Committee with case by case follow-up. Accordingly, relevant committees are being updated frequently on all clients including the defaulted ones.- Creation of Commercial LRU Department in the future is a good idea provided the proper set-up is available (existence of Risk Department in BBS for corporate and MM) and the availability of needed qualified personnel with good experience in Credit and Legal aspects.- All cases mentioned above have been rectified as Commercial Department is following the appropriate procedures and getting the proper approvals in all cases. Also relevant committees are being updated frequently on all the defaulted clients' positions	
15	BBS	OA	>24	M		***Settlements through exchange companies (BBS Loan Recovery - 2013):*** In some regions (such as Homs and Aleppo, etc), LRU coordinated with exchange companies to ensure collection of due amounts due to the difficulty to get to branches' premises. However, the controls over the collection process were	***Georges Sfeir (General Manager):*** The contract is under study at CBoS***.***	Procedure

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
						insufficient. There was a delay in crediting clients' accounts with the collected amounts for 46% of the sample. Also, the clients' settlements in the exchange companies were executed in the name of the office boy with a weak traceability and reconciliation process. Moreover, there is no insurance policy to cover the cash transported from exchange companies to BBS as well as the one kept in safe at LRU. The clients' settlements should be in the name of the bank, and a proper reconciliation with the exchange companies should be conducted on a periodic basis to avoid exposing the Bank to any embezzlement or dispute with clients. LRU should coordinate with the Administration to assess the opportunity of having an insurance policy on the transported cash and cash in LRU safe. ***Audit Comments***: no contract with Haram Co.		
16	BBS	OA	>24	M		***System functionality (BBS Loan Recovery - 2013):*** LRU application (Excel sheets) used for following up with clients is basic and may lead to data alteration. It is updated with data from branches; thus, in case the branch omits or doesn't send the information on time, the new defaulting	***Georges Sfeir (General Manager):*** Pending at BBL.	System Implementation

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
						loans will not be included. In addition, there were no automated monitoring reports for closed, rescheduled or written-off loans and inputted data were not reviewed by an independent party. A dedicated application and automated reports should be implemented in order to enhance controls.		
17	BBS	OA	>24	M		***Rescheduled loans (BBS Loan Recovery - 2013):*** Absence of rescheduled loans report to ensure that appropriate approvals were granted and new conditions applied.	***Georges Sfeir (General Manager):*** This issue should be removed, since after refer to: BT, Projects & System Development, LRU of BBL, & International Support Department they assured that your request isn't available on Globus.	Regular
18	BBS	OA	>24	M		***Communication with Legal Unit (BBS Loan Recovery - 2013):*** No standardized criteria used to transfer a defaulting client's file from LRU to Legal Unit. An amount of SYP 3.9 millions related to 6 cars sold in auctions during 2011 and 2012 was not collected. Also, Legal did not keep defaulting clients' files including the original bills in a fireproof cabinet. We recommend formalizing the interaction between LRU & Legal Unit through a validated procedure. Moreover, Legal should follow up on collecting the amount from cars' sales.	***Georges Sfeir (General Manager):*** 1- It is related to LRU unit .2- Will be solved during Sep 2017.3- We requested many time for a fireproof cabinet to keep the original files.	Regular
19	BBS	OA	>24	M		***User Access (BBS Loan Recovery - 2013):***	***Georges Sfeir (General Manager):***	Regular

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
						The limit set for the head of LRU to authorize overdrawing a client's account was not approved by BBS management committee. ***Audit Comments***: The issue is still outstanding since we conducted a withdrawal on LRU account for an amount of SYP 60 M and noted that It requires an authorization only from the Head of LRU.	This Issue should be removed, since our "overdraft" authorizations consists only the renewal of insurance policies & the legal fees which already approved by GM (with supporting documents), but about the "excess over limit" we would like to confirm again that we can't give authorizations above $ 3,000**.**	
20	BBS	OA	>24	M		***Monitoring Reports (043-BBS-OA-005-11):*** 2. All delivered monitoring reports are modified after being extracted from the web reporting to include the source of funds for some old clients and replace some unreadable data and thus subject to accidental modification leading to inaccurate review.3. The report generated by the Compliance function in order to detect whether a given customer conducted cash deposits exceeding SYP 500,000 is incomplete and inaccurate, as it does not sum up the total cash transactions per CIF.4. The review of the report related to ATM cash withdrawals greater than USD 2,000 or equivalent "AML Monitoring Report" is not documented.5. The CUT report is not generated by the Compliance function if suspicious accounts were not subject to	***Georges Sfeir (General Manager):*** 2-Same For 2 + 3 We Send 2 Crfs Related To Cash Deposit And Cash Withdrawal To Create 2 Wep Reports Same As Bbl To Provide Us By The Customers Which Conducted Cash Deposits And Cash Withdrawal Exceeding Syp 1000000 -4- Solved We Cant Print The Whole Reports Because They Are Too Large + -5- Because The Cut Report Only Shows The Movments Of The Tracebla Accounts	Regular

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
						movement. ***Audit Comments***: The compliance unit starts documenting on excel sheet the review of the report related to ATM cash withdrawals; however, the documentation is incomplete as it is missing some information such as withdrawal amounts, number of rejected transactions. As for the remaining issues, they are still outstanding		
21	BBS	OA	>24	M		***Syrian Watchlist Names (043-BBS-OA-005-11):*** There is no review to ensure that names reported by CMLC were introduced in Fircosoft on timely basis. By reconciling the updated register of the Syrian Watchlist with Fircosoft extraction, we noticed a difference between the number of clients recorded in the register and Fircosoft. In addition, in 2 out of 5 cases, there was a delay in input of names on Fircosoft. Also, names reported by CMLC were not promptly communicated to CID.	***Georges Sfeir (General Manager):*** compliance bbl provide BT with an updated list on weekly basis and when necessary and urgent, and we will provide the CID with an updated watch every two weeks starting march 2017 and we started to review the names on Fircosoft**.**	Regular
22	BBS	OA	>24	M		***AML Solution (043-BBS-OA-005-11):*** The AML solution software is not yet in place in order to:- Identify signs of money laundering.- Track unusual transactions and activities.- Prepare regulatory reports.- Reduce manual controls.- Generate automated reports including	***Georges Sfeir (General Manager):*** we are working on Siron**.**	System Implementation

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
						aggregate reports by group of clients to assist the Compliance function in identifying suspicious transactions.- Classify customers and transactions according to a risk-based approach, etc… ***Audit Comments***: Changes in T24 took place in order to implement adequate control measure by showing an override message for any total deposit or withdrawal amounts for a CIF greater than SYP 1,000,000 or C/V during the same working day; however, the risk will remain M since the AML solution required by the CBoS.		
23	BBS	CRA	12-24	M		***Discrepancies in the Collateral Documentation (BBS-Assessment of the Credit Administration Unit Activities):*** 1- The signature of Byblos representatives were missing in 3 PG signed in Vienna (Kuzbari Group); and for the C/G increase signed in Luxembourg (Sharikat Altanmia).2- Sharikat Altanmia: The BOD for the re-election of the GM who signed on the C/G reminders in 2014 and 2016 were not obtained; in addition, no legal opinion was obtained on the enforceability of the C/G vs. EU sanctions on Syria. The MD of the said C/G was not booked due to missing info.3- Eastmed: upon our request, new general assembly	***Georges Sfeir (General Manager):*** 1- Kuzbari Group: The guarantors live out of the country; & they already have CIFs in BBS and their signatures were confirmed by our team/branch; we have a very good relationship with the group. Altanmia: The original corporate guarantee which was signed in presence of BBE employee covers more than 130% of total facility; the signature of the GM on the increase was confirmed.2- Altanmia: The initial Guarantee was signed by Mr. Hrechdakian who had the authority to do so at	Regular

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
						minutes of meeting and legal visa were requested revealing that the borrowing right was changed prior to the signature of the last offer letter. Although a new offer letter was signed in Nov. 2016, however, the borrowing right was not confirmed by the legal unit since it was not specified in the latest general assembly.4- The GC &/or O/L were not signed by all guarantors in the cases of Kuzbari Group & Lead. (rectified for the O/L)	the date of signature of the initial C/G, accordingly, the C/G is enforceable; the C/G is prepared using the forms of BBS and according to Syrian laws and considered enforceable in Syrian courts; regarding the MD, the guarantor is not willing to sign the documents KYC for the time being.3- Eastmed: rectified.4- rectified for the O/L.	
24	BBS	CRA	12-24	M		***Discrepancies in the Pricing (BBS-Assessment of the Credit Administration Unit Activities):*** Most of the approved interest rates on O/D and short term loans were based on Term Deposit rates plus margin, with a minimum rate; however, the rates set in the ADI or LD pricing tables were the minimum and not linked to the TD.	***Georges Sfeir (General Manager):*** Clients in Syria are more familiar with fixed rates than with floating rates, accordingly their concern always is about the rate itself rather than linking this rate to any other benchmark. Anyway all clients are well informed of any changes in rates and all applied rates are well negotiated and approved by clients.	Regular
25	BBS	ITA	12-24	M	12/31/2017	***Exchange disaster recovery server is not in place (086-BBS-IT-008-15):*** We noted that a DR server for BBS exchange server is not in place; although it is designated as a critical system, according to systems classification. Consequently, DR procedure is not in place and drills were not performed. We	***Raffoul Raffoul (AGM - Head of Group Organization Dvpt, Info Systems & Operational Support):*** Exchange Syria DR setup is expected to be ready in BBS Tartous DRC in Q3 2017.Accordingly, its DR Plan and DR drill will be completed in Q4	Regular

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
						recommend BT to set a clear action plan regarding the DR coverage for BBS Exchange Server in order to diminish the related risks. Therefore, formal DR procedure should be prepared and drills should be performed and documented accordingly.	2017.	
26	BBS	ITA	12-24	M		***Conventional user name & password is being used by all users to login to BBS (170-BBS-IT-022-14):*** Since creation of Globus/T24 BBS environment, one shared UNIX account is being used by all BBS users, before they type their T24 user name and password. Consequently, with the use of this UNIX shared credentials, password aging policy was not imposed at Unix level. Moreover, access using the file transfer protocol (FTP) is not properly restricted. We recommend either creating one UNIX account for each user or find a turnaround solution (such as ex: bypassing the UNIX login) that should be tested and implemented. A delivery date for the selected solution is requested. Accordingly, the shared user password should be changed and the FTP should be properly restricted to authorized users.	***Raffoul Raffoul (AGM - Head of Group Organization Dvpt, Info Systems & Operational Support):*** This long lasting issue would be solved once we upgrade to the newer web enabled version. Creating for each user two profiles (UNIX and Globus) will be cumbersome for end users who will need to memorize two passwords in order to access one application. It will also increase the load on IS and BT (password reset, user reconciliation, etc...) on the different environments (Live, Backup and Disaster).We have submitted a case to BT in order to make the desktop client bypass UNIX authentication through the use of hidden credentials. BT will test the solution provided by Temenos (ref: Mr. Machhour Salem).	Regular

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
27	BBS	OA	12-24	M		***Checklist & Register (126-BBS-OA-015-15):*** The register maintained for the CBoS reporting was incomplete, as it only showed the status of reports (sent to CBoS/CBoS controller, checked, done, printed) without reflecting other essential details such as periodicity, responsible department, regulation, deadlines, submission date, amendments, etc. Moreover, this register was being updated on monthly basis without saving the previous versions. ***Audit Comments***: Issue is still outstanding as the accounting unit should maintain special register for all required regulatory reports with essential details such as periodicity, regulation, deadlines for both internal controller and the CBoS, submission date, amendments, etc.	***Georges Sfeir (General Manager):*** issue should be reviewed and should be removed since all mentioned details are recorded in the list on a monthly basis, as per attached excel.	Procedure
28	BBS	OA	6-12	M		***Budget Monitoring Tool (185-BBS-OA-020-15):*** The Bank did not have a budget monitoring tool that ensures effective preventive controls on excess over budget. The Accounting department is monitoring the Bank's budget on Excel at the end of each month. We recommend the implementation of a budget monitoring tool that enables the Bank to	***Georges Sfeir (General Manager):*** the Head of Finance and Admin is monitoring the evolution of expenses on a monthly basis against the yearly budget of the bank. Furthermore, the Accountant send to all branches on a quarterly basis the actual vs. budget figures by branch. It will be better monitored once the Oracle is	Control

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
						monitor efficiently the assets' purchases and expenses.	installed in BBS. We recommend the installation of Oracle as in BBL.	
29	BBS	OA	6-12	M		***Fixed Assets and Procurement through Bids (185-BBS-OA-020-15):*** The bidding process was not respected, as 48% (13 out of 27) of the tested fixed assets purchases were not supported by 3 different offers from different suppliers, and bids were Not being opened and signed by the purchasing committee. In addition two invoices related to ATM services fees although budgeted but greater than USD 10,000 were missing the Acknowledgement of BBS Management Committee members. Despite management reply regarding the existence of few suppliers in the Syrian market for Some products, we recommend the Finance and Administration to ensure that the bidding processes are respected; in case of absence of sufficient suppliers, an official memorandum should be prepared in this regards and approved by purchasing committee members. Also, Finance and Administration should make sure that all expenditures and purchases	***Georges Sfeir (General Manager):*** We will take into consideration that high value purchases (above $10,000) will be communicated to the Management Committee (even though are budgeted and paid by BBL). Also regarding 3 offers, it should be noted that in most cases mentioned, these are regular suppliers we deal with and they haven't changed their prices since long time so no need as per procedure to get 3 offers. however, it will be taken into consideration that if not possible to have 3 offers, for new purchased assets or for purchases where the suppliers changed their prices, it will be mentioned and approved by the purchasing Committee (for high value purchases above $10,000).	Control

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
						are approved, signed or acknowledged by the concerned responsible parties. ***Audit Comments***: Despite management reply regarding the existence of few suppliers in the Syrian market for some products, we recommend the Finance and Administration to ensure that the bidding principles are respected and in case of absence of sufficient suppliers an official memorandum should be prepared explaining the case and approved by purchasing committee members. Also, Finance and Administration should make sure that all expenditures and purchases are approved, signed or acknowledged by the concerned responsible parties.ATM switch service fees above USD 10,000 if budgeted should be at least communicated and acknowledged by Management Committee.		
30	BBS	OA	6-12	M		***Prepaid Expenses (185-BBS-OA-020-15):*** We checked the calculation and booking of prepaid expenses and noted that prepayments (extracted from Trilog) are being booked in T24 through batches that are processed on monthly basis. However, these prepayments are not being subsequently controlled to ensure accuracy and proper booking.	***Georges Sfeir (General Manager):*** i don't see it is an issue and should not be even mentioned. you are asking here to control entries posted automatically by IT, which is not practical since these are automatic entries posted through batches and the probability of error is zero. Note also, that any deviation or irregularity in	Practice

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
							expenses will appear at beginning of the coming month since the evolution is controlled on monthly basis by the Head of Finance and Admin	
31	BBS	OA	6-12	M		***General Expenses (185-BBS-OA-020-15):*** The audit over general expenses revealed some irregularities in the booking process as some transactions (2 out of 79) were booked on the wrong PLs. Additionally, 6 out of 79 transactions had invoices or supporting documents missing Management signatures as proof of control (rectified in one case after audit3). Also, we noted cases where provisions (provision for Bonus & Provision for tuition fees)4 had debit balances, yet, they were netted from other provisions instead of being reported under the prepayments in the assets side (Rectified in 2016).On the other hand, the review of fuel expenses and mission travelling expenses during 2016revealed irregularities, as we noted that:§ Fuel replenishments prices were not continuously challenged by Administration (refer to appendix III).§ The transportation fees for the employees who used their personal motor vehicle to accomplish some required tasks, were not reimbursed on a standardized manner as	***Georges Sfeir (General Manager):*** Same reply; regarding the last mentioned case, the transaction was intentionally booked on the PL of transportation and not on Car Repair since it is related to the car of a staff and Car Repair PL is restricted to the bank's cars only. And these are 2 special cases that occurred twice and will not be repeated.	Practice

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
						required by the HR policy (e.g. an amount of SYP 40,000 was paid as a lump sum to a BBS employee who was assigned to deliver safe key outside Damascus territory using his personal motor vehicles instead of mileage reimbursement5 to cover his expense). ***Audit Comments***: Upon checking the Fuel replenishments prices during 2017 we noted fluctuation in prices in the same period , for examples Lattakia branch SYP 650 , 550 during Feb 2017 & Abbasiyeen branch SYP 425 , 525 during 2017 - Abbasiyeen branch SYP 280 during Jan 2017 and Head office where Abu Roummaneh SYP 400 during 2017 taking into consideration that we will reassess prices during Q3 2017. Moreover upon checking 4 bills above USD 1000 selected randomly we noted that one bill was missing the GM approval FT1717300918. In addition, the travelling expenses still revealed irregularities as the paid per-diem was, in four out of fourteen cases, SYP 3,500 instead of SYP 3,000		
32	BBS	OA	6-12	M		***Procedure & Purchasing Committee Charter (185-BBS-OA-020-15):*** We noted several deviations from the Assets Purchase & Inventory procedure (Branches were submitting their requests	***Georges Sfeir (General Manager):*** We already sent a request to International Department in order to update the PSY11. the Charter will be updated accordingly.	Procedure

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
						directly to Finance & Administration Department without passing through Branch Coordination Unit, Bidding envelopes were being opened by the Administration Unit in the presence of the Head of Finance and Administration instead of BBS purchasing committee, etc.).In addition, the procedure was missing some processes (processing of expenses/purchases over Trilog & the Inventory System) and major principles (threshold amount above which, prepayments should be subject to amortization over the period covered by the related expense, thresholds for considering purchased items should be recognized as assets or expenses).On the other hand, the Purchasing Committee Charter needs to be updated (dated 2010).	However, we will try to abide by the existing procedure as much as possible when it is practical.	
33	BBS	OA	6-12	M		***Inventory Management (185-BBS-OA-020-15):*** The physical inventory count over the storeroom items was performed by the Accounting instead of the Head of Finance & Administration, and was improperly undertaken since it was not done on periodic basis2 and did not cover the entire stock rather a sample. Also, we noted only 1 physical control performed during 2015 over blank banker checks and	***Georges Sfeir (General Manager):*** The full physical control will be done semi-annually (in June and December). But at end of month will be done on a sample basis since it is time consuming and cannot be done fully at each end of month.	Practice

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
						it was not reconciled against T24 balances, rather against excel sheet manually updated. Furthermore, in three cases of monthly control over clients' checkbooks, differences between physical counts and T24 balances were noted without being justified and properly sorted out. On the other hand, management of stock available in the storeroom revealed some weaknesses in the applied controls as follows:§ Banker checks were neither safeguarded in the storeroom nor in a fire proof cabinet and related movements were not logged on a register for monitoring purpose;§ The use of clients' blank checkbooks was not supported by signed requests (rectified after audit); and§ No registers were maintained by the storekeeper/custodian to record movements over blank checkbook papers or banker checks. We recommend that the Head of Finance & Administration gives particular attention to the physical inventories and management of stocks by ensuring that independent controls overstocks are applied on periodic basis and on the entire stocks, are well documented and signed by the controller. Additionally, stocks should be properly safeguarded to avoid any mishap and		

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
						should be used based on forms signed by the requestors and subject to a manual register. ***Audit Comments***: Issue is downgraded to medium since we tested the physical control performed during 2017 over blank client checkbooks and banker checks to note the physical control is done on a monthly basis and reconciled against T24 balances. Moreover the physical inventory count over the storeroom items was performed by the accounting unit on a sample basis each month and by Head of Finance & Administration quarterly. Taking into consideration that a full physical control was performed during Jun 2017 except for Byblos forms. Blank banker checks are kept inside the storeroom as well the blank client checkbook under the custody of the storekeeper who is responsible of printing the client checkbook. We will reassess the full physical inventory count over the storeroom items during Q4 2017		
34	BBS	CRA	0-6	M		***Delays in the CA Renewals (BBS - 2016):*** Out of the 15 tested files, 5 files were expired and not yet renewed, noting that some of these files were previously subject to technical renewals. In addition, 8 files were renewed with an average	***Georges Sfeir (General Manager):*** Although some files were renewed with delay, however RM and HOU are closely monitoring those accounts. The delay in file renewal is mainly due to the following	Ongoing

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
						delay of 10 months, and 2 other files (previously NPL) were renewed with a delay exceeding 3 years.	reasons: difficulties at obtaining the required renewal documents where some of the clients are relocated outside the country; high turnover of commercial staff; overload of requested reports from the CBoS along with the increasing complication on the operational level which takes a major time from the team. Concerning the expired files:- Adel Morcos: file was renewed 28.2.2017 and sent to ICR on 02.03.2017.- Madar Group: The renewal is still pending with the international credit risk department since 30.09.2015. A new one is under renewal.-Daoud Trading: The full file renewal is in circulation in BBL since 11.01.17 (within the 3 months window of CBoS); the new/proposed maturity is 31.12.17. - Hadaya Motors Trading & SALB Steel: renewed and approved.- Ghassan & Hassan Sukar: The client is not cooperative and he is already classified at our end. The file renewal will be presented before end of March. If not, we will be exiting the relation.	
35	BBS	CRA	0-6	M		***Financials (BBS - 2016):***	***Georges Sfeir (General Manager):***	Ongoing

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
						Out of the 16 tested files (excluding classified bad), we found the following discrepancies:- In 2 cases, financials were not obtained (Asaad Atalla; Shrikat Hijja wa Bitar).- In 3 cases, financials were unaudited (Joud; Loutfi; Hadaya).- In one case, last available financial statements dated back to 2014 (Loutfi).- In 5 cases, financials statement obtained were not spread.	Audited financials are being obtained from clients especially for the companies that are required to submit audited financials as per companies' law No. 29 for the year 2011. Annual financials are being followed up and provided on timely manner but it depends on client's responsiveness most of the time. Concerning the following cases:• Asaad Moris Atalla: main business is construction which stopped since 2012, hence no financials are being done; however, current operations of the client being procurement contracts with public entities, are being financed from us. Hijja wa Bitar: the client's facility represents rescheduling loan i.e. is on exit basis, hence the client is out of business since 2012.• Haytham Joud & Hadaya Motors: Audited financials are not required as per CBoS 902 decree • Loutfi Imad: The client plant in Aleppo was destroyed completely during the crisis. Accordingly the client was able to obtain the approval of the Ministry of finance not to present any financial	

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
							statements for the time being.	
36	BBS	CRA	0-6	M		***CA presentation (BBS - 2016):*** From the selected sample of files, the following discrepancies were noted in the presentation of the CAs:1- In 2 cases, the presented CA was restricted to the CA Form and a summarized credit memo, (Imad Loutfi and rectified in the case of Atallah). In three other CAs where the purpose was a rescheduling of total O/S and classification upgrade from "6", the source of repayment was not identified. (Sharikat Ajneht Al Sham; Madar Coil Coating; Shrikat Hijja wa Bitar).2- In 2 cases, the account movement reported in the CA was inflated.3- In 2 cases, the reported collateral coverage ratio in the CA was overstated.4- In cases where financials obtained from borrowers are audited but not by prime auditors, RMs state in the spread that these financials are company prepared.	***Georges Sfeir (General Manager):*** 1. Mohammad Loutfi file it is clearly mentioned in the CA page 2 that the granted facility under the personal name of Imad Loutfi is mainly used to finance Technopack; we kept the facility under his personal name in order to maximize our benefits from the available first degree mortgage to BBS favor. Hijja wa Bitar: The client is on exit basis and is out of business and not providing us with any updates of his business. Madar Coil Coating and Sharikat Ajneht Al Sham: in exit relationship files subject to rescheduling proposal, file renewals were simplified and summarized in office memo along with updated BIR, where all available information in hand are reflected.2. Noted & will be taken into consideration.3. Haytham Joud: The proposed interest rate was a typing mistake. As for the security table the proposed real estate mortgages were reported to cover 42% and 79% of the exposure due to the following: the	Regular

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
							appraisal reports prepared by the bank experts deduct 20% of any plot total value as an internal policy to minimize risks. Both plots are under construction, where their total value once the construction works are done is expected to reach USD 1.5 M. Techno Pack: The file was presented to Risk on 14 July 2016 where the proposed guarantees were to dully cover the total granted facilities as mentioned in the security table. Later on the client has requested to increase his facilities further, so we replaced the CA face one as agreed with Risk department while they changed the proposed securities manually prior to presenting to CCC for approval, where our agreement is only mortgage to be increased covering 120% of total granted facilities, keeping all other unchanged.4. Noted, from now on we will state the auditor.	
37	BBS	CRA	0-6	M		***Documentation (BBS - 2016):*** From the selected sample of 20 files, we noted the following discrepancies:1- In 2 cases, offer letters were outdated.2- In 4	***Georges Sfeir (General Manager):*** 1. Hadaya Motors: will be obtained before end of 2017. 2. We will try to obtain updated PG reminders	Ongoing

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
						cases, PG/CG reminders were outdated. (rectified in the cases of Techno pack & Sharikat Ajneht Al Sham)3- In 1 case, the requested P/G increases were not obtained.4- In 2 cases, term loan agreements were not signed by the guarantors.5- In one case, appraisal is outdated. In another case, seizures on plots were not removed as per CCC request. 6- Previous O/S issues were not rectified: Outdated offer letters (5 cases); Outdated PG/CG reminders (4 cases); Plegde on machines not obtained (1 case); Outdated & missing appraisal (1 case); missing documentation for the opening of CIFs for PGs (2 cases); the applied interest rates following last increases were not formally approved by the borrowers (3 cases).	for Madar Coil Coating before 30-09-2017. Techno Pack: P/G reminder of Mr. Imad Loutfi is on hand. regarding Imad's sons they are currently outside syria so we can't obtain their reminder (this issue already mentioned and approved in the CA approval dated 03/05/2017). Hajjeh & Bitar Company: on exit; client is not cooperative, however, we are pushing to have stated PG reminder signed before Sep/17. Sharikat Ajneht Al Sham: we registered the settlement agreement with the client in the court including all guarantees; so in principle the P/Gs are confirmed by a court decision and can't be neglected by guarantors. 3. Madar Coil Coating: We are still working on obtaining the missing PGs.4. Hajjeh & Bitar Company: We couldn't get the signature of the guarantor on O/L and bills since the guarantor is residing in Germany, noting that rescheduling agreement was registered in court and it became an executive document enforceable for both	

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
							client and guarantors. Sharikat Abdul Aziz Sokhni: We will try to get the signatures of the guarantors on O/L and bills upon the file rescheduling.5. Hajjeh & Bitar Company: We will be having updated appraisal before June/17. Ghassan & Hassan Sukar: The client is not cooperative. We will be exiting the relation. 6. Maatouk Drugstore: new ones will be obtained upon file renewal; Ganama: We were able to obtain a confirmation of balance dated 12/12/2016. As for the plots, they are unaccessible. Moreover an exit relationship scenario is under negotiation with our client. Regarding “Abou Khatir & Trabulsi” and "Abou Khatir wa Akhras": we are in negotiations to reschedule their exposures and regularize their accounts, where an updated offer letter will be signed once a deal is reached with them. - "Al Nahas": file transferred to legal; “Zaheer Al Faysal”: till date we were unable to obtain the singed PG reminder. “Majed Takla”: This issue is expected to be finalized	

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
							within 4-5 months. "Sharikat Debbane wa Shurakah": We are still trying to get the signature of Mr. Eltienne on KYC. "Sharikat Altanmia Alziraya": the guarantor is residing in Europe. "Radwan"; "Al Wais"; "Mazare Rihana": clients are transferred to legal action, we shall wait either court decision or a negotiated deal with client in order to solve this issue.	
38	BBS	CRA	0-6	M		***Classification (BBS - 2016):*** Out of the 13 tested regular accounts, we found one case ("Haytham Soubhi Joud") where the account movement was weak, as total deposits were below 2 times the facility and the minimum debit balance was above 10% of the facility, in addition to repetitive excesses over the limit. The account should be classified "Watch List – 3" as per CBoS regulations. Moreover, when assessing the borrowers' account movement for classification purpose according to CBoS decree No 902, BBS should remove all inflated transactions i.e. loans or bills proceeds, returned checks, cancelled transactions, and transfers between two accounts pertaining to the same borrower.	***Georges Sfeir (General Manager):*** All previously granted Temporary excesses were approved by CCC and settled on due dates without any delay. The reported excess over SYP 300 Mio during the period between 02/11/2016 and 20/12/2016 was after CCC approval dated 18/10/2016, where the client was approved an additional SYP 500M as a direct bill facility. Therefore the excess was granted while finalizing the mortgage enabling us to increase the granted facilities, later after obtaining all securities the approved amounts as an excess over SYP 300 Mio was translated into 3 direct bills on 28/12/2016 integrated to the	Regular

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
							facility. The account rotation will read 1.54 times in case we excluded the below credited amounts: SYP 65 Mio transferred from Sky Joud Compnay and SYP 66 Mio being the 3 direct bills previously approved as an excess over O/D. However eliminating those amounts without adjusting the average debit balance is not accurate and will have a negative effect on fair rotation calculation; noting that our account movement study is based on CBoS decree no 902 that doesn't eliminate any transaction. In all cases, client was notified by the importance of better account movement and was reflected by a better account movement already.	
39	BBS	CRA	0-6	M		***Excesses not Approved (BBS - 2016):*** We found 2 cases ("Hadaya Motors"; "Ghassan & Hassan Sukar") where excesses for SYP 145M and SYP 36M respectively were approved solely by BBS. These excesses exceeded the allowed amount granted to BBS committee being SYP 10M. BBS should comply with the CPPM which states that excesses at the level of BBS should not exceed 20% of the	***Georges Sfeir (General Manager):*** The maximum allowed excess as per CPPM for CC Syria being maximum SYP 10M (counter of USD 200,000) was previously set based on the circumstances in the country at that time (prior to the current crisis) when SYP/USD= 50 which is totally changed due to the prevailing conditions and the	Regular

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
						facility with a maximum of SYP 10M, or else an approval should be obtained from BBL. Another option is to update the CPPM accordingly.	continuous devaluation in currency.	
40	BBS	CRA	0-6	M		***Non-Standard Conditions applied on NPL (BBS - 2016):*** From the selected sample of NPL, we found 10 cases where different debit interest rates and commissions were applied on the same borrowers' accounts. ADIs related to overdraft accounts included the limit originally granted; hence, the portion of O/S up to this limit was not charged a penalty while the remaining portion and due unpaid financing were charged. In addition, the quarterly commission 2‰ was applied on the overdrafts and not on the due unpaid financing. Interest rates and commissions applied on each NPL borrower's accounts (more specifically overdrafts and post financing) should be the same, as total O/S was in default. Commercial should prepare a proposal including legal opinion on the conditions to be applied on NPL and should obtain Management's written approval in both BBS and BBL.	***Georges Sfeir (General Manager):*** The issue have been discussed by the ICC on May 3, 2017, where the following was decided: seek BBS Management committee's approval on the rates that won't be changed since BBS is negotiating a rescheduling or exit plan; apply a rate of 11% on the remaining non-performing as proposed by BBS; submit the final proposal to BBS BOD for final validation.	Regular
41	BBS	ITA	0-6	M		***Audit trail Over the Database Level is not in Place (120-BBS-IT-016-16):*** During our fieldwork, we noticed that the	***Raffoul Raffoul (AGM - Head of Group Organization Dvpt, Info Systems & Operational Support):***	System Enhancement

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
						audit trail is not enabled to log activities and data manipulation (select, delete, insert, update, etc) performed by database administrators at the Open2 oracle database level. Consequently, activities can't be easily identified. We recommend BT in coordination with ISD to specify the database events that are considered critical. Consequently, the audit trail should be enabled on selective critical events to log activities performed at the DB level. ***Audit Comments***: The Default Audit trail was enabled on Oracle 10g, however, no logs were being retrieved since actions and tables to be audited were not set.	Audit Trail has been enabled at the DB level. - It is now up to the application owner to decide which tables to be audited so that we can add them.	
42	BBS	ITA	0-6	M		***Audit trail over The Application Level is not Complete (120-BBS-IT-016-16):*** Audit trail over the CAMS application is not comprehensive and complete. In addition, we noticed while checking the CAMS event viewer that the activities (such as: profiles' creation and modification) being performed by ISD on CAMS users' profiles are not logged. We recommend BT in coordination with the provider to study the possibility of enhancing the available audit trail report, and include all activities performed by application administrators and ISD. If this	***Raffoul Raffoul (AGM - Head of Group Organization Dvpt, Info Systems & Operational Support):*** Audit Trail report is under testing for BBL environment and expected to go live in Mid April 2017. In case successful it will be implemented in BBS environment	System Enhancement

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
						is not possible we recommend developing a new report detailing user activities in a simpler and more informative way.		
43	BBS	ITA	0-6	M	6/30/2017	***Debit Card Yearly Maintenance Charges Collection (120-BBS-IT-016-16):*** The Debit Card yearly maintenance charges (900 SY) are being manually collected by debiting customers' accounts and crediting the PL 52022 (COM ON MAESTRO CARDS). We also noted that some active cards maintenance fees were not shown as collected for 2016 from their related accounts. As per BBS this is due to the fact that some cards' fees are being debited from the customers' related companies' accounts, and others are exempted from cards fees payment. It is worth noting that customers' exception list is currently not in place. We recommend BBS to prepare an exhaustive list containing all debit cards charges exceptions. In addition, we recommend BBS to request from BT to study the possibility of automating the process of collecting the debit card yearly charges, as mentioned in the DEBIT CARD BBS procedure. ***Audit Comments***: After following up with BT, the change C24975 is under development.	***Georges Sfeir (General Manager):*** We already have exceptional list with account numbers. (please find it attached). we are checking all the new card holder accounts to make sure that fee has been deducted, and on a daily basis .Mr. Nawras Sammour already sent to BT Helpdesk to study the possibility of automating the process of collecting the yearly debit card fees with no answer from BT (LOG number is C24975).	System Implementation

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
44	BBS	ITA	0-6	M	12/31/2017	***Commissions on Financial and Non-Financial Transactions (120-BBS-IT-016-16):*** Payable and acquired commissions' received from CSC on monthly basis were not reconciled to any in-house generated reports or logs. Instead, the cards unit was limiting its scope to verifying the accuracy of the reports amount received from CSC and ensuring that rates are properly applied in CSC's statements through dividing the lump sum amounts by the number of transactions executed for each financial and non-financial transactions' category. On the other hand, non-financial transactions executed by BBS cardholders on CSC or other networks' ATMs were settled by BBS as part of the settlements, however, not charged to customers' accounts. We recommend BBS cards operations to coordinate with BBL, to study the possibility of reconciling the acquired commissions' received from CSC. On the other hand, BBS management should check the possibility of charging the non-financial transactions to customers' accounts. ***Audit Comments***: After following up with BT, this issue is expected to be rectified by end of Q4 2017.	***Georges Sfeir (General Manager):*** The only way to reconcile the acquired commissions is the E journal, but it's unreadable. We will coordinate with BBL and find solution.- For the financial commission of the transactions performed by Byblos clients on non-Byblos ATMs, you suggested to reconcile it from cards' settlement dep. I think it's unfeasible as their source of data is CSC which we already have. - Charging the non-financial transactions to customers' accounts: the Non-financial approved is still pending with BT log (C24974).	System Enhancement

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
45	BBS	CRA	>24	L		***Excess (187-CR-BBS-15-10):*** The issue is still outstanding for the authorization of unlimited excess overrides in the system. ***Audit Comments***: We are talking about the authorization of excess on the system. BBS can approve unlimited excesses in the system. This practice should be ratified by BBL.	***Georges Sfeir (General Manager):*** Since there is no credit risk department in BBS, the general manager will authorize all the excesses over the limits. Please clear this issue. Not CAD issue.	Procedure
46	BBS	CRA	>24	L		***Approval Authorities granted to MM files (010-CR-BBS-03-11):*** The approval authorities granted to BBS Credit Committee to approve MM files up to USD 750K in Indirect and USD 500K in Direct within specific criteria were not added to the CPPM in BBS.MM approval authorities should be added in the CPPM.	***Georges Sfeir (General Manager):*** The update of the CPPM is under process. The process was delayed several time due to the new regulations and strategies adopted by the local authorities and the CBoS in addition to drastically changing market conditions. Its expected to be finalized before mid-year.	Procedure
47	BBS	ITA	>24	L		***Weaknesses in the BCP Strohl application's maintenance and support (069-BBS-IT-010-13):*** We noticed that the currently used BCP application "Strohl" is not covered with a support and maintenance agreement; i.e. there is no assurance of the proper and continuous functioning of the primary BCP application. We recommend the Head of the BCP Unit to reactivate the maintenance agreement on the Strohl	***Raffoul Raffoul (AGM - Head of Group Organization Dvpt, Info Systems & Operational Support):*** The need is not justified for the time being. Included in the action Plan for year 2017.	System Implementation

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
						application, and study the possibility to upgrade the application to its latest version.		
48	BBS	ITA	>24	L		***SQL administrator profile and audit trail for the DataBase and Bills Domiciliation Application (181-IT-BBS-14-10):*** 1-Head of Data Integration Development Section on the bills domiciliation application SQL database server is using a conventional username and its password is known by him.2-Moreover, the audit trail over the database is not enabled.3-Last modification and authorization are only being logged on the Bills Domiciliation Application. We recommend:1-Studying the possibility of creating separate login name for the Head of Data Integration Development Section user on the bills domiciliation application SQL database server. Consequently "sa" password should be only maintained by DBA and kept in a sealed envelop.2-Enabling the audit trail over the SQL database in order to log all activities performed on the SQL database level.3-Studying the possibility of enhancing the available application audit trail in order to log and maintain all activities performed by users and not only maintaining the last changes.	***Raffoul Raffoul (AGM - Head of Group Organization Dvpt, Info Systems & Operational Support):*** Bills Domiciliation is split on 2 apps thus 2 SQL Servers BLSQL2 and BLETLSQL. These SQL servers are old versions and the only auditing existing there is C2 which is heavy on performance and could affect the application availability so not recommended at all. But, in case confirmed to be required, then could be enabled easily.	Regular

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
						Audit Comments: Audit trail still not implemented.		
49	BBS	ITA	>24	L		***Formal Business Continuity Plan is not in place for the web retail information system (104-ITA-08-08):*** A business continuity plan for the web retail information system has not been elaborated to cover Syria branches and Head Office operations in the event of any disruptions occurring on the retail service.	***Georges Sfeir (General Manager):*** Retail User has been already granted to BCU on several occasions to continue closed Branch's business. Besides, business continuity plan will be amended accordingly .it is worth noting that, since retail services are currently frozen, other more critical areas are given higher priority.	Regular
50	BBS	ITA	>24	L		***Technical documentation for the Web Retail Information System is not yet delivered by the provider (104-ITA-08-08):*** Technical information about the system, application information, database architecture, etc… to keep the concerned parties aware of the progress and the detailed work performed by the provider. A delivery date is required.	***Georges Sfeir (General Manager):*** System was delivered by BBL and the technical documentation was not provided with the system	Regular
51	BBS	ITA	>24	L		***Salaries process requires manual intervention (051-ITA-04-09):*** The end of month (EOM) salaries process requires HR to prepare the salaries file and send it by email to BT Beirut to be generated on Globus. Therefore, we recommend HR to coordinate with BT in order to allow salaries file to be	***Georges Sfeir (General Manager):*** Salaries are now generated by system as a TXT file consisting of numbers and figures that couldn't be read by someone who is not familiar with the process in addition to the inability of the external system provider to make	System Enhancement

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
						transferred by HR to Globus and updated by BT using a Straight Trough Processing solution.	the file transferred to Globus directly i.e. automatically into Globus.	
52	BBS	ITA	>24	L		***Formal recovery procedure for AutoID system is not in place (051-ITA-04-09):*** The system recovery procedure for the AutoID system is not in place. We recommend putting in place a formal contingency plan to the current HR system database and application in order to ensure the continuity of business in case of disruption. Consequently procedure should be tested. ***Audit Comments***: Recovery procedure should be successfully tested to consider that issue is cleared.	***Georges Sfeir (General Manager):*** IT Syria has taken a snapshot (backup) of the payroll's server software (AUTOID) since we have not received official documentation. The database is backed up daily and can be restored when needed.	Procedure
53	BBS	ITA	>24	L	12/31/2017	***Missing and/or erroneous Miscellaneous Deals (MDs, Off Balance Sheets) (059-ITA-07-09):*** Some MDs were missing, others were erroneously created. Excluding the supplementary records, 13.7% (222 out of 1612) of active cards do not have MD references in Globus and 19% (307 out of 1612) of active cards are created with an amount different than MD limit references in Globus. MD amounts should be rectified and a clear process is to be drafted to continuously report missing and improper MDs versus delivered and active cards.	***Georges Sfeir (General Manager): Farah Sleiman (Cards Operations Senior Officer):*** The cards operations is executing the needed reconciliation and cleansing process between the T24 Cards MD's and the outstanding cards Manually until further notice since no system enhancement will be done during 2017 due to other priorities.	System Implementation

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
54	BBS	ITA	>24	L		***Missing & improper account categories for charge and credit cards (059-ITA-07-09):*** As per the procedure, customer applying for a charge and/or credit card in BBS should have accounts of special categories. A set of exceptions were encountered in this regard such as: a) MasterCard credit accounts opened under categories such as personal loan, current accounts/overdraft-advances, transferable funds/current accounts and salary domiciliation. b) Billing accounts having categories such as cash margin and easy account. c) Active (charge and/or credit) cards with missing, closed, wrong and/or incomplete accounts. We recommend accounts assigned to credit and charge cards be revised and a report is to be requested and used on a periodic basis to monitor abnormal and improper accounts assigned to credit and charge cards. ***Audit Comments***: On 30 Jun 2015 we conducted a test at the branch level and noted that the employee manually add the account category however the account nature pop up next to it. in addition we checked the 33 credit cards billing and opened master card account since we do not have any more charge	***Georges Sfeir (General Manager):*** No updates, we are not granting credit cards now.	System Enhancement

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
						card to note that the master card account is opened under category 1132 and the billing account is current or easy account. We recommend to send a CRF in order to create special menu to open master card sub account same as current account.		
55	BBS	OA	>24	L		***Duties and Reporting Line (BBS Regulatory Compliance):*** The RCO functional reporting to the Head of Legal was not in compliance with the decree 489; since the RCO was performing some legal tasks which might impair her independency. Moreover, the RCO tasks were not governed by any procedure (expected 2nd half of 2015) and the related JD was not revised to reflect the actual duties and responsibilities. RCO duties and reporting line along with the related JD should be revised. ***Audit Comments***: Issue is partially rectified since the bank hired a new Regulatory Compliance officer (RCO) reporting to the head of compliance unit and the procedure is validated by the internal audit and sent to concerned party ,however the related JD was not revised to reflect the actual duties and responsibilities	***Georges Sfeir (General Manager):*** We Send A Draft Jd To Hr To Finalize It	Ongoing
56	BBS	OA	>24	L		***Communication of New Laws and Regulations (BBS Regulatory***	***Georges Sfeir (General Manager):*** Solved The Rco Is Challenging The	Ongoing

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
						Compliance): The Regulatory Compliance Officer (RCO) was not challenging the Bank's compliance with the regulations in force. In addition, there was no proper register of laws and regulations covering the Bank's activity (rectified for laws issued in 2014). Moreover, we noted delay in communicating CBoS decrees to concerned parties as such, 10 decrees were communicated to related departments with an average delay of 74 days. We recommend the RCO to ensure compliance with regulations through testing, completeness of laws' register and dissemination without any delay, of laws and regulations. ***Audit Comments***: issue it still Outstanding The Regulatory Compliance Officer (RCO) is still not challenging the Bank's compliance with the regulations.	Bank'S Compliance With The Regulations Case By Case	
57	BBS	OA	>24	L		***Regulatory Reports Follow-up (BBS Regulatory Compliance):*** The RCO was not properly following-up on the issuance of regulatory reports; among 286 tested reports prepared by different departments, we noted that the RCO did not ensure that 213 reports were timely submitted. Moreover, the regulatory reports' register used by the RCO was	***Georges Sfeir (General Manager):*** we start applying a manual monthly follow us starting 2017.	Ongoing

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
						incomplete (22 reports were missing; the periodicity of one report was misstated, etc.). ***Audit Comments***: Issue is downgraded to L, since the RCO started manually the follow up over the regulatory reports.		
58	BBS	OA	>24	L		***Unchecked CBOS reporting and unauthorized signatories (102-BBS-11-08):*** The dealer is manually filling two CBOS reports, Fx open positions template # 2 ("open position" that does not show anymore total long and total short as required it only shows them in the net position) and template # 3, signing them as well as an accountant officer; however, both reports are not signed by the General Manager (or someone formally delegated by him) as required by the decision # 362\١\ب ن\م issued by the Money and Credit Council. We recommend the automation of these reports. In addition to the signature of the dealer, these reports should be signed by someone officially appointed by the GM. As for template # 2 we recommend that management coordinates with BT in order to find a solution for FX open positions to show the long & short positions separately and not in the net position.	***Georges Sfeir (General Manager):*** Template 2 is used by the Treasury and not by the Accounting. Issue should be removed from Finance and Admin.	Regular

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
						Audit Comments: Issue partially rectified for template 3, however it is still outstanding for template 2 as "open position" still shows the net position. Noting that the CBoS issued on 5 Jun 2014 circular requesting all banks to show the long & short positions separately (Circular # 166/1759).		
59	BBS	OA	>24	L		***Absence of limit by dealer (102-BBS-11-08):*** The dealers operating at the Treasury department have no documented and pre-approved limit to perform deals. As such, they can engage the Bank by positions without being detected or challenged. We recommend the implementation by the Management Committee of documented and approved limits for each dealer.	***Georges Sfeir (General Manager):*** We don't have a limit by dealer since, as mentioned below, all MM and FX limits with correspondents have been cancelled. FX is done only with BBL & Central Bank, noting that special requirements are needed to execute an FX with CB .As for MM: BBS is borrowing SYP funds from local Banks and depositing EUR or USD with Local Banks against exchange of SYP funds. Hence it is not applicable for the time being	Ongoing
60	BBS	OA	>24	L		***Manual Reconciliation process (087-BBS-09-08):*** Nostro reconciliation process is being manually processed, which is ineffective and time consuming. We recommend that Management coordinate with BT in order to automate the reconciliation to shorten the process and increase its efficiency.	***Georges Sfeir (General Manager):*** issue should be removed since it cannot be solved; CBOS does not send us the statement by SWIFT (MT 950).	System Enhancement

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
						Audit Comments: The reconciliation process is still conducted manually for public banks		
61	BBS	OA	>24	L		***Commissions on Outgoing Transfers (096-BBS-10-08):*** We noted weaknesses related to the collection of commissions on outgoing transfers.1. Since management decided to collect a commission of SYP 150 on transfers in Syrian pounds without any swift charges, we recommend the restriction of PL52709 (swift charges) and the automatic booking of SYP 150 with the ability to waive these charges for large clients only at the branch management level.2. Globus does not differentiate between transfers executed over clients' accounts and employees' accounts because the same commission is collected from both. Different commission and swift charge tables should be tailored based on sectors.3. In addition, we encountered a case, where the swift charges collected were below the minimum USD 15 set and the transaction did not show any commission override. We recommend that any change in commissions and swift charges necessitate a BM/ABM override. ***Audit Comments***: Commissions on transfer out for BBS employees were	***Georges Sfeir (General Manager):*** Log under testing, we will go live when we finish the test. LOG ID: C26502**.**	Regular

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
						specified by the management however there are still manually collected		
62	BBS	OA	>24	L		***Commission on Returned Checks (061-BBS-06-09):*** 1. Commissions on returned Byblos checks is manual. In addition, the commissions were not always charged at the branch level.2. Commissions on returned purchased checks is automated. However, the commissions were not always charged. A clear list of clients exempted from commissions should be available in each branch to support the reason of not charging the commissions .In addition, for Byblos checks, we recommend the automation of the commission from within the module. ***Audit Comment***s: The commission on returned check is automated however BCU is preparing list of exempted clients on T24.	***Georges Sfeir (General Manager):*** CRF request was sent on 20/10/2015 till now didn't receive log number from BT , No update	System Enhancement
63	BBS	OA	>24	L		***Check Clearing (085-OA-13-06):*** Checks are processed manually due to lack of standardized coding for checks in the Syrian Market which increases the risk of human error.	***Georges Sfeir (General Manager):*** we are getting offers and will do the tests to make sure the machines will be successfully installed. Estimated by end of August 2017.	Ongoing
64	BBS	OA	>24	L		***Procedure And Job Descriptions (043-BBS-OA-005-11):*** 1. The job description signed by the	***Georges Sfeir (General Manager):*** We Send The Main Tasks Related To Compliance Officers And Head	Regular

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
						Compliance officers was not identical, although both perform the same duties. 2. Major tasks performed by the officers are not included in the job description such as CMLC & CBOS reporting.3. Some duties assigned in the job descriptions, such as continuous review and control of branch report regarding some specific suspense accounts and ensuring specimen of signatures are introduced on Sigcap, are not handled by the Compliance officers. It is worth mentioning that in the absence of the senior Compliance officer, the other officer signed the reports addressed to CMLC in his name on her behalf although his replacement of the FIU was not officially communicated to CBOS.	Of Compliance And The Transactions Monitoring Officers Based On The Compliance Procedure To Hr To Coordinate With Bbl Hr To Prepare A Drafts And Asked Hr To Provide Us By Jd Draft Related To Senior Compliance Officer.	
65	BBS	OA	>24	L		***Control/Authorization Over Amendments On CIF Fields (043-BBS-OA-005-11):*** 1. The report extracted does not show the actual inputter and authorizer on the name amendment, and it does not show the override approval when exists.2. When the client's name to be amended includes more characters than it can be inputted into the CIF module, the compliance function uses a separate module. However, any new amendment over the CIF module (not necessary name amendment) would override the name	***Georges Sfeir (General Manager):*** Log No C20997 Is Life Since 10/04/2014 Knowing That The Pb Also Can Input The Information Manually And, We Will Maintain Current Process. No Names Amendments Are Effected At The Branch Level.-2 It Is A System Bug, And For Cpl09Sy We Chek It On Daily Basis	Regular

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
						amendment performed using the second module and reput the name as it was before amendment. Thus, the new amendment will be shown as name amendment while it is not the case. This is a system weakness that needs BT intervention.3. There is no consistency in the process of the name amendment whereas not all CIF names amendments were inputted and authorized by the Compliance function. Moreover, we noted that amendments over customers' names can be authorized by branches if not timely approved by the Compliance function. It is worth mentioning that the review over the web report (CPL09SY- List of CIF names amended) was not documented. ***Audit Comments***: The sample tested showed inconsistency in the process, and maintaining the same process will not improve the control environment.		
66	BBS	OA	>24	L		***Central Bank decisions (043-BBS-OA-005-11):*** 1. The action plan for KYC cleansing has been put to work after March 30, 2011 however, it does not include due dates to achieve this requirement.2. BBS did not adopt a risk-based approach to classify clients in accordance with the level of	***Georges Sfeir (General Manager):*** we are working on Siron.	Regular

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
						risks. (Departure from CBoS decision 6 article 13). ***Audit Comments***: BBS started with cleansing project; however, they did not adopt the risk based approach process. Issue is still outstanding**.**		
67	BBS	ITA	12-24	L		***Authorization activities should be reviewed (170-BBS-IT-022-14):*** The approval of Mr. Georges Sfeir (Syria GM) on the "Authorization" activities performed by Ms. Dina El Najem can't be easily tracked. As per Ms. Najem, records could be identified in the mailbox. Consequently unauthorized transactions could be performed without proper authorization from Syria GM. It is worth mentioning that Ms. Dina El Najem (Executive Secretary) has same user profile and authorization privileges as Mr. Georges Sfeir (Syria GM). This was requested back in June 2011 from Information Security Department. We highly recommend to have an activity report generated on daily basis for Ms. El Najem. This report should be reviewed and signed on regular basis by the GM and should be properly maintained for future audit review. ***Audit Comments***: Issue is still outstanding since a tested was performed in 4-7-2017	***Georges Sfeir (General Manager):*** Done. There is a problem with the web reporting system, most of time it doesn't respond, we inform the IT Syria and they are working on it.	Regular

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
						and several reports related to the first quarter of 2017 were printed but not signed and four reports dated 14,15,18,19 Jun 2017 were not generated at all.		
68	BBS	OA	12-24	L		***Submission of Reports (126-BBS-OA-015-15):*** We checked the submission date of the reports sent to CBoS/CBoS internal controller during 2014 & 2015, and noted that 12 out of 20 monthly reports were sent to internal controller with a delay ranging from 1 to 6 days. Knowing that during this period, an amount of SYP 300K was paid as penalty for errors and delays in submitting reports, in addition 5 warning letters were received in this regard. Therefore, deadlines set for the submission of reports to CBoS/CBoS internal controller should be respected. ***Audit Comments***: Issue is still outstanding since we noted that 3 out of 9 reports were sent to the internal controller with a delay ranging from one to two working days during Mar & Apr 2017**.**	***Georges Sfeir (General Manager):*** it should be noted that the small delay in February 2017 was to the interenal controllers and not to CBOS and there was a delay in few reports due to a big mistake by the Treasury unit and the TPU since they booked a wrong SWAP deal on Globus on 31.1.2017 which caused manual corrections in the Accounting reports. Again, i suggest to re-evaluate the issue since i believe it should be removed and the Accounting team are always meeting their deadlines to CBOS.	Practice
69	BBS	OA	12-24	L		***Annual leaves (126-BBS-OA-015-15):*** When reviewing the annual leaves taken by Accounting employees involved in the reporting process, we noted that 4 did not take 10 consecutive vacation days during	***Georges Sfeir (General Manager):*** We are trying, if we can, to give employees 2 consecutive weeks. But due to deadlines, it is not always practical.	Procedure

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
						2014 and 3 did not take these mandatory vacation days in 2015. Moreover, concerned staff did not deactivate their T24 profiles before taking their annual leaves. Accounting should ensure that all staff members are taking 10 consecutive working days of vacation and that their related profiles are being properly deactivated during their absence.		
70	BBS	OA	6-12	L		***Annual Leaves and Job Descriptions (185-BBS-OA-020-15):*** We reviewed the annual leaves taken by the administration employees during 2014 & 2015and noted that 12 and 10 employees did not take 10 consecutive days respectively during2014 and 2015. The findings pertaining to Job Descriptions were sorted out after audit. ***Audit Comments***: issue is still outstanding since 12 employees did not take 10 consecutive days during 2016. (Riad Al Khatib - Ghassan Al Haddad - MHD. Eyad Basha - Alaa Moussa - Ammar Baghdad - Mouhamad Alouche - Farouk Al Khatib - Georges Bitar - Adnan Alhelal - Mouyad Al Abtah - Bassel Alkhen - Osama Alfandi).	***Georges Sfeir (General Manager):*** Mr. Georges Bitar, Head of Finance and Administration, cannot take 2 consecutive weeks due to his type of work and responsibilities. As for the remaining staff, we will try to give them 2 weeks vacation, except for Ammar Baghdad since it is a bit hard due to his type of Work as the main Admin officer dealing with suppliers***.***	Procedure
71	BBS	ITA	0-6	L	6/30/2017	***Users having Conventional Passwords and FTP access on the UNIX Level (120-BBS-IT-016-16):*** We detected 4 UNIX profiles on	***Raffoul Raffoul (AGM - Head of Group Organization Dvpt, Info Systems & Operational Support):*** "root" profile to be assessed during	Regular

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
						production and backup BBS Open2 servers, having conventional passwords and FTP access. 3 users have sensitive menus such as: "Open2 Administrator menu, "Open2 Cards menu", "Open2 logs menu". We also noted during testing, that the "ROOT" profile, in addition to one Database Administrator UNIX profiles (csaikaly) were found having FTP access on the production and backup servers. As per the security checklist for UNIX Servers, "ROOT" user should be restricted from using FTP. We recommend BT to assess all users' profiles (where password policy is not applied), change the conventional passwords to strong password controls, apply a special password security policy, and limit FTP access only to authorized users. ***Audit Comments***: The 4 UNIX profiles having conventional passwords were subsequently rectified. Still remaining, "root" profile having FTP access.	Q2- 2017.	
72	BBS	ITA	0-6	L	9/30/2017	***Oracle Updates and Patches were not Installed (120-BBS-IT-016-16):*** Security updates and patches were not being applied when appropriate on the Oracle Open2 database. In addition, the Oracle Database running version is 10.2g which is no longer supported by the	***Raffoul Raffoul (AGM - Head of Group Organization Dvpt, Info Systems & Operational Support):*** A switch to Oracle 11g will be done during 2017. However installing updates and hotfixes without the clearance of the supplier may be	Regular

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
						Oracle provider. We recommend BT to study the possibility of upgrading the Oracle Database release to a version supported by Oracle provider. Consequently, security updates and hotfixes should be tested to be installed on timely basis.	risky and recommends a full and deep tests on the application level which we don't have the luxury to do it.	
73	BBS	ITA	0-6	L		***Debit Cards Accounts Exceptions (120-BBS-IT-016-16):*** We requested from BT the list of all active cards with their related accounts to ensure that all accounts are related to categories: current, checking or easy accounts, as mentioned in the DEBIT CARD BBS-PSY 15 procedure. We noticed that 4 cards are related to unauthorized account categories such as (1908, 8705…). It is worth mentioning that the cards default accounts related to authorized categories. We recommend BBS cards department to extract the list of all active cards with their related accounts, related categories and status. Consequently, unauthorized account categories including the above accounts should be removed. In addition; BBS cards operations should ensure that a control to restrict linking debit cards to any category other than the authorized categories (current, checking, easy accounts, etc.) is in place.	***Georges Sfeir (General Manager):*** CAMS already has restriction for linking debit cards only to authorized categories, so the above issue can be dismissed. And I think the list you mentioned is related to old systems problems.	Regular

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
74	BBS	ITA	0-6	L		***Active Debit Cards Related to Closed Accounts (120-BBS-IT-016-16):*** We detected 5 active supplementary cards having their respective primary card status as cancelled, which is not compliant with the DEBIT CARD BBS-PSY 15 procedure. We recommend as stipulated in the procedure supplementary cards should be cancelled when the primary card is cancelled. Else related customers should be also contacted to issue new active cards.	***Georges Sfeir (General Manager):*** Since the risk of the above point is Zero and the renewal cards is controlled on monthly basis so by default all the cards related to closed accounts will be canceled sequentially. Frequently, We are sending emails to the branches to take care and read the pop up message that T24 shows when PB close account which has debit card.2-For the supplementary cards, we will assure its cancelation upon canceling the primary card and we will apply the required control (I think DEBIT CARD BBS-PSY 15 procedure should be reviewed, the supplementary card related to joint account "And/ Or" should stay active "if the fees is already paid" even if the primary was cancelled as the client has the right to hold it till the expiry, both clients should be treated as primary.	Regular
75	BBS	ITA	0-6	L		***Debit cards and ATMs Profitability Reports were not Prepared (120-BBS-IT-016-16):*** The debit cards and ATMs' profitability reports were not being prepared. It is	***Georges Sfeir (General Manager):*** The profitability Study for Debit Cards has been prepared for the month of April. It can be prepared at any time but within a margin of	Regular

N.	Entity	Audit Dept	Aging	Risk	New Due Date	Situation as at June 30, 2017	Reply as at June 30, 2017	Issue Category
						worth mentioning that the preparation of such reports was not included in any related procedure as a regularly scheduled duty to be performed by BBS. We recommend BBS management to prepare the profitability report related to this line of business. We also urge BBS management in coordination with OSP to incorporate the preparation of the ATM and debit cards profitability reports within the BBS debit cards procedure.	inaccuracy due to the high volatility of the exchange rate of USD to SYP. As for the ATM's, we will check with the group department in BBL to have an idea of what they prepare in order to be on the same path or at least to use similar study.	

APPENDIX II - INDEX OF CLEARED/DOWNGRADED ISSUES

N.	Entity	Audit Dept	Aging	Risk	Status	Situation as at June 30, 2017	Reply as at June 30, 2017
1	BBS	ITA	0-6	M	C	***Daily Reconciliation Between T24 and CSC (120-BBS-IT-016-16):*** The reconciliation process is being manually performed using an excel file to identify if any discrepancies between T24 and CSC is available, such as reversed transactions, or other transactions identified in CSC not in T24 or in T24 not in CSC. Based on the reconciliation result, settlement is according performed. We recommend the Bills /Clearing/ Invoicing/Sigcap/post Financing /Cards unit to coordinate with BBL-BT in order to check the possibility of automating the reconciliation of identifying transactions available in T24 not in CSC Report and vice versa, in order to increase efficiency and effectiveness of the process. ***Audit Comments***: Bills unit started using special application ICR for reconciliation process. Therefore, issue cleared.	***Georges Sfeir (General Manager):*** SOLVED.
2	BBS	ITA	12-24	M	C	***Email encryption is not used for BBS management (086-BBS-IT-008-15):*** We noted during our fieldwork that most of BBS management users are not currently using a security tool (ex: PKI: public key infrastructure) to exchange internal and external e-mails in a secure way (Digital Signature and email encryption). This may expose	***Georges Sfeir (General Manager):*** Byblos Syria MC have email signing enabled.

N.	Entity	Audit Dept	Aging	Risk	Status	Situation as at June 30, 2017	Reply as at June 30, 2017
						exchanged data to unauthorized access. As per ISD only BBS General Manager (GM) has an ePKI certificate. We recommend BBS to request from ISD the possibility of implementing PKI/ePKI for BBS users especially BBS management users, to ensure secure exchange of internal and external emails. ***Audit Comments***: BBS Top Management have been granted e-PKI. Therefore, issue closed.	
3	BBS	OA	6-12	M	D	***Inventory Management (185-BBS-OA-020-15):*** The physical inventory count over the storeroom items was performed by the Accounting instead of the Head of Finance & Administration, and was improperly undertaken since it was not done on periodic basis2 and did not cover the entire stock rather a sample. Also, we noted only 1 physical control performed during 2015 over blank banker checks and it was not reconciled against T24 balances, rather against excel sheet manually updated. Furthermore, in three cases of monthly control over clients' checkbooks, differences between physical counts and T24 balances were noted without being justified and properly sorted out. On the other hand, management of stock available in the storeroom revealed some weaknesses in the applied controls as follows:§ Banker checks were neither safeguarded in the storeroom nor in a fire proof cabinet and related	***Georges Sfeir (General Manager):*** The full physical control will be done semi-annually (in June and December). But at end of month will be done on a sample basis since it is time consuming and cannot be done fully at each end of month.

N.	Entity	Audit Dept	Aging	Risk	Status	Situation as at June 30, 2017	Reply as at June 30, 2017
						movements were not logged on a register for monitoring purpose;§ The use of clients' blank checkbooks was not supported by signed requests (rectified after audit); and§ No registers were maintained by the storekeeper/custodian to record movements over blank checkbook papers or banker checks. We recommend that the Head of Finance & Administration gives particular attention to the physical inventories and management of stocks by ensuring that independent controls overstocks are applied on periodic basis and on the entire stocks, are well documented and signed by the controller. Additionally, stocks should be properly safeguarded to avoid any mishap and should be used based on forms signed by the requestors and subject to a manual register. ***Audit comments***: Issue is downgraded to Medium since we tested the physical control performed during 2017 over blank client check books and banker checks to note the physical control is done on a monthly bases and reconciled against T24 balances. Moreover the physical inventory count over the storeroom items was performed by the accounting unit on a sample base each month and by Head of Finance & Administration quarterly. Taking into consideration that a full physical control was performed during Jun 2017 except Byblos	

N.	Entity	Audit Dept	Aging	Risk	Status	Situation as at June 30, 2017	Reply as at June 30, 2017
						forms. Blank Banker checks are kept inside the storeroom as well the blank client checkbook under the custody of the storekeeper who is responsible of printing the client checkbook. We will reassess the full physical inventory count over the storeroom items during Q4 2017.	

APPENDIX III - INDEX OF BRANCHES ISSUES

PROCESS / ISSUES	O/S	# of New Issues	# of Recurrent Issues	% of Branches With Recurrent Issues	Risk
GENERAL SUPERVISION					
EOD Verification Process *(Journals by User are checked and signed by a non-related employee against related daily vouchers; and required EOD Reports are signed by branch management)*	**0**	0	0	0%	H
Monthly Controls *(Controls should be performed by the branch management over sensitive banking instruments on a monthly basis)*	**2**	1	1	11%	M
Handing-Over Process *(Handing-over of banking instruments from a custodian to a replacement staff upon sudden and annual leaves)*	**2**	1	1	11%	M
Management Responsibilities *(Branch Management checks the required documentation before giving any authorization, communicated e-mails and instructions to staff, circulates the branch, and solves clients' complaints. Branch Manager does not have excess familiarity with staff or clients)*	**2**	2	0	0%	H
Annual Leaves *(All staff should take 14 days of uninterrupted vacation unless properly approved)*	**8**	4	4	44%	H
Custody & Classification of Documents *(Blank forms are kept in locked cabinets and account opening contracts for active CIFs as well as other originals should be kept in locked fireproof cabinets)*	**3**	3	0	0%	M
Custody & Management of Keys *(A register for the allocation of keys exists, and is properly maintained. Keys are segregated to ensure dual access to all sensitive areas such as the strong room)*	**0**	0	0	0%	M
TOTAL	**17**	**11**	**6**		
ACCOUNT OPENING					
Account Opening Contracts *(Every document relating to the account opening file should be initialed by the compliance officer in the branch (ABM). Contracts are properly filled, approved and filed; and no information is missing, mainly date, address, phone, etc...)*	**9**	5	4	44%	H
TOTAL	**9**	**5**	**4**		

PROCESS / ISSUES	O/S	# of New Issues	# of Recurrent Issues	% of Branches With Recurrent Issues	Risk
CLIENTS' INSTRUCTIONS					
Fax Instructions *(Clients transacting via fax should have signed the required fax instruction form and attached the required documents)*	**6**	4	2	22%	H
Standing Instructions *(Standing Orders should be properly handled, recorded on the register and inputted in Globus System)*	**4**	3	1	11%	M
Stop Payment Instructions *(Stop Payment Instructions should be properly handled, recorded on the register and inputted in Globus System)*	**1**	1	0	0%	H
Outward Transfers *(Approved by relating clients, accounting entries properly booked, commission collected, swift received)*	**0**	0	0	0%	M
Branch Correspondence *(All bank's correspondence are backed up by an original request, duly signed and clear content not engaging the bank in any way.)*	**5**	4	1	11%	M
TOTAL	**16**	**12**	**4**		
PROXIES					
Clients' Proxies *(Clients' signatures on Proxies are verified for authenticity; and ID of the proxy holder should be obtained and verified to the original. Proxies should be approved by Branch Management; and recorded both on the register and on Globus)*	**4**	4	0	0%	H
Proxies for Employees *(A prior approval from BMGT should be obtained to issue a proxy for any staff member)*	**0**	0	0	0%	H
TOTAL	**4**	**4**	**0**		
CASH MANAGEMENT					
Cash Counts *(Tellers' tills are counted on a weekly surprise basis and the process is properly documented)*	**1**	0	1	11%	H
Cash Limits *(Tellers respect the cash limits preset by the insurance policy)*	**2**	2	0	0%	H
Cash Management *(Entrance to the vault is dually done and properly supervised by a member of branch management. Cash transportation is done with the presence of the Main Teller and ABM/BM in a secure place)*	**7**	3	4	44%	H
ATM Replenishment (*ATM replenishment is securely and dually performed)*	**0**	0	0	0%	H
TOTAL	**10**	**5**	**5**		

PROCESS / ISSUES	O/S	# of New Issues	# of Recurrent Issues	% of Branches With Recurrent Issues	Risk
ANTI-MONEY LAUNDERING					
Anti-Money Laundering Process *(Economic Right of Ownership form should be filled with every account opening contract, and when branch management has any suspicions on incoming transactions)*	**9**	0	9	100%	M
TOTAL	**9**	**0**	**9**		
PLASTIC CARDS MANAGEMENT					
Plastic Cards Management (*Plastic cards and pin codes are properly handled by separate custodians, placed in a safe location and periodically controlled by branch management)*	**2**	2	0	0%	H
TOTAL	**2**	**2**	**0**		
CHECKS					
Banker Checks *(Banker checks are properly approved before issuance, commission is properly collected)*	**1**	1	0	0%	H
Returned Checks *(Returned checks are properly handled and documented; and commission collected)*	**1**	1	0	0%	M
Clients' Checkbooks *(Checkbooks should not be held at the branch for more than 4 months; and their custody and delivery must be controlled by branch management)*	**2**	2	0	0%	M
Byblos Checks Paid at the counter *(Byblos cheques paid at the counter are stamped as Paid)*	**2**	2	0	0%	M
TOTAL	**6**	**6**	**0**		
TELLERS' TRANSACTIONS					
Teller Transactions *(Queue line is properly enforced, and tellers are not handling more than one client at a time and are securing their workstations when away. Cash is paid directly to and received from the customer and not through a third party)*	**4**	4	0	0%	H
Verification of Clients' Signatures *(Client's signature on all documents is properly verified with Sig-Cap or the specimen of signature in the branch)*	**3**	2	1	11%	H
Stamps *(Stamps are properly secured, recorded and maintained)*	**1**	1	0	0%	L
TOTAL	**8**	**7**	**1**		

PROCESS / ISSUES	O/S	# of New Issues	# of Recurrent Issues	% of Branches With Recurrent Issues	Risk
RETAIL LOANS & BILLS					
Retail Loan Review *(Loans are properly granted to the client and in accordance to requirements in the internal policies and procedures; proper approval and required guaranties are obtained. Files are properly handled by the custodian, and placed in a secure place)*	**0**	0	0	0%	H
Bills Management *(Bills are not under the tellers' custody, the delivery of bills is only performed once the custodian ensure the payment and proper processing of the bill. Monthly inventory of the bills is performed by a person other than the custodian and properly documented)*	**0**	0	0	0%	M
TOTAL	**0**	**0**	**0**		
INACTIVE ACCOUNTS					
Inactive Accounts *(Dormant accounts are properly activated and approved by branch management after following the required procedures; including obtaining client's signature on a confirmation of balance along with signature verification & copy of client's ID).*	**2**	2	0	0%	H
TOTAL	**2**	**2**	**0**		
SAVING & DEPOSIT TAKING					
Custody and Controls over Saving Passbooks *(Transfers between the global and daily stock of passbooks is properly documented and properly performed and reconciliation is performed)*	**0**	0	0	0%	M
Replacement/Closure/Cancellation of Saving Passbooks *(Client signature authorizing the transfer to the new passbook is verified, client signature indicating that the funds have been fully received is verified, new passbook number is properly recorded on the register and on the old passbook. Client's physical presence was verified or proper written instructions)*	**0**	0	0	0%	H
Closed Accounts *(Account closure is properly conducted, there are no embezzlement of funds in the closure process. All joint closed accounts are dually signed by all parties).*	**0**	0	0	0%	H
Safe Boxes *(Safe box rentals should be backed up by properly signed contracts.*	**1**	1	0	0%	M

PROCESS / ISSUES	O/S	# of New Issues	# of Recurrent Issues	% of Branches With Recurrent Issues	Risk
Provisions should be available and yearly rental fees properly booked).					
Accounts with Remaining Small Balances *(All account showing non-significant small balances are closed)*	**0**	0	0	0%	M
TOTAL	**1**	**1**	**0**		
LG & LC					
Issuance/Renewal of LGs *(LG requests are properly signed by the client; and contain signature verification and branch management approval. Fiscal stamps are properly collected and affixed; and commissions are properly collected).*	**0**	0	0	0%	M
Closure/Cancellation of LGs *(Closed or cancelled LG is obtained, all outstanding fees are collected, original LG should be stamped as cancelled, the date of cancellation should be recorded and branch management's approval of the closure or cancellation should be obtained. Cancelled or closed LGs should be recorded as such in the register)*	**0**	0	0	0%	M
LC Process *(LC documents are kept in a fire-proof cabinet and delivered to the concerned client after ensuring the settlement)*	**0**	0	0	0%	M
TOTAL	**0**	**0**	**0**		
GENERAL SECURITY & BANK'S IMAGE					
General Security & Bank's Image Issues *(Branch management is taking the necessary measures to maintain the security of the branch's premises. The branch premises are kept in good shape to reflect the bank's image and reputation)*	**6**	6	0	0%	L
TOTAL	**6**	**6**	**0**		
GRAND TOTAL OF BRANCHES ISSUES	**90**	**61**	**29**		

APPENDIX IV - INDEX OF CBOS OUTSTANDING ISSUES

بند	الفترة الزمنية	المخاطر	الوضع الحالي كما في ٣٠ حزيران ٢٠١٧	رد الإدارة كما ٣٠ حزيران ٢٠١٧
١	٢٤<	متوسطة	إعتماد أدلة سياسات واجراءات ادارة المخاطر، وخطة الطوارىء في المصرف حيث تمّ تحديد نهاية العام الفائت موعدا لذلك.	نظراً لعدم الإنتهاء من مراجعة سياسات وإجراءات التسليف وبهدف الإلتزام بمتطلبات المصرف المركزي المتعلّقة بسياسات إدارة المخاطر، تمّ فصل سياسات إدارة مخاطر الإئتمان عن سياسات وإجراءات التسليف للمصادقة عليها بشكل منفصل من قبل مجلس الإدارة على أن يتمّ دمجها بسياسات وإجراءات التسليف عند جهوزها. تمّ الإنتهاء من إعداد سياسات إدارة مخاطر الإئتمان ويجري في الوقت الحالي مراجعتها قبل عرضها على مجلس الإدارة للمصادقة التاريخ المتوقع للإنجاز هو ٢٠١٧/١٠/٣١.
٢	٢٤<	متوسطة	اعتماد دليل إرشادي لتصنيف البيانات وفق درجة حساسيتها حيث تم تحديد نهاية العام الفائت موعدا لذلك.	تم الانتهاء من مراجعتها من قبل قسم تكنولوجيا المعلومات ويجري حالياً مراجعتها بشكل نهائي من قبل الإدارة في بنك بيبلوس لبنان (السيدين رفول رفول وإيلي باسيل)
٣	٢٤<	متوسطة	استمرار عدم ايلاء الأهمية اللازمة لنتائج تقرير التدقيق الداخلي حيث تبين وجود ٧١ ملاحظة لم تتم معالجتها بعد ٥٣% منها تعود لأكثر من سنتين و قد بلغ عدد الملاحظات التي تم تلافيها بين تقريري الربع الثاني و الربع الثلاث ٣ من اصل ٧٤.	يتم تنفيذ جميع الملاحظات الا تلك التي تتطلب تطوير في نظام غلوبس. وسيتم إحالة التقرير الجديد الموقوف في ٦/٣٠ إلى مدير الدعم الجديد الذي تم تعيينه مؤخراً لملاحقة جميع النقاط العالقة.
٤	٢٤<	متوسطة	عدم الالتزام بتقديم بيانات مالية مدققة ومحدثة للزبائن عن السنوات الثلاث السابقة للمنح، فقد تم التنويه ضمن رد المصرف انه في الحالات التي يتم تقديم بيانات غير مدققة فان المصرف يقوم بالتحقق من صحة الميزانيات المقدمة من الزبون وذلك بالكشف عن مستنداته وأنظمة الشركات المستخدمة لديه للأمر الذي يعتبر غير مقبول وفقا للمتطلبات الرقابية وانه بالمقابل لابد من اجراء دراسة من قبل المصرف لكن انطلاقا من البيانات المالية المدققة.	لا جواب من الإدارة. الجواب السابق: نحن بالتزام كامل بتعليمات المصرف المركزي بهذا الخصوص و في حال عدم إلتزام العميل نقوم بتخفيض التصنيف حسب قرارات المصرف المركزي
٥	٢٤<	متوسطة	عدم قبول رد المصرف بخصوص عدم وجود طلب للحصول على تسهيلات ائتمانية أو زيادة التسهيلات الائتمانية وتحديد كيفية تسديدها ضمن الملف الائتماني حيث أن المطلوب هو الحصول على ذلك في المرحلة الأولى للمنح.	لا جواب من الإدارة. الجواب السابق: نفس الرد السابق- يجب إعادة التدقيق و مسح النقطة
٦	٢٤<	متوسطة	عدم قبول رد المصرف لجهة عدم إرسال كتاب إخطار بالتسهيلات الممنوحة للعميل وذلك من ناحيتين الأولى أن يتضمن الملف نسخة من الكتاب المرسل من المصرف، الثانية هو أنه في حال وجود العميل المتكرر خارج القطر فمن المستحسن الطلب اليه توكيل من يراه مناسبا لمتابعة المواضيع المتعلقة به مع المصرف أو الاتصال بوسائل الاتصال الحديثة معه لزوم اتمام التواقيع.	لا جواب من الإدارة. الجواب السابق: نفس الرد السابق - يجب مسح هذه النقطة
٧	٢٤<	متوسطة	عدم قبول رد المصرف بالنسبة لاتخاذ الإجراءات التصحيحية بخصوص تحديث بيانات العملاء حيث انه نتيجة للأوضاع الراهنة يتم تمديد بعض التسهيلات دون تجديد مستنداتها بسبب عدم امكانية الحصول عليها .	لا جواب من الإدارة. الجواب السابق: نفس التعليق السابق (إن مصرفنا يصر على إجراء التجديد السنوي

بند	الفترة الزمنية	المخاطر	الوضع الحالي كما في ٣٠ حزيران ٢٠١٧	رد الإدارة كما ٣٠ حزيران ٢٠١٧
				لجميع الملفات بالاعتماد على أحدث ميزانيات وأرقام مالية موجودة لآخر سنة مالية تسبق تاريخ التجديد. في حال عدم توفر هذه المعلومات، فإن مصرفنا لا يقوم بالتجديد السنوي لهذه الملفات وإنما نقوم بإجراء دراسة مختصرة تتضمن حركة الحساب وتحليل مركزية المخاطر وملخص عن آخر الاجتماعات مع العميل ونقوم بتمديد تاريخ استحقاق الملف لمدة تتراوح بين شهر وثلاث أشهر فقط ريثما يتم استكمال المعلومات الناقصة وإجراء التجديد السنوي حسب الأصول.)
٨	٢٤<	متوسطة	عدم دقة رد المصرف بأنه قد تم وضع ضوابط دقيقة لمنح تسهيلات الحساب الجاري المدين حيث لم يتم تزويد المراقب المصرفي الداخلي بها في المهمة المنفذة لمتابعة رد المصرف على نتائج المهمة الرقابية.	لا جواب من الإدارة. الجواب السابق: المصرف المركزي بصدد إصدار ضوابط محكمة لتسهيلات الجاري المدين ونحن بإنتظار تلك الضوابط من أجل إعتمادها وتطبيقها فور صدورها.
٩	٢٤<	متوسطة	التزويد بميثاق عمل لجنة التسليف المركزية بشكل بين الصلاحيات والأعضاء وفق أخر تحديث لها.	لا جواب من الإدارة. الجواب السابق: نفس الرد السابق علماً أن دليل السياسات و الإجراءات هو قيد التحديث ولكن ما يؤخر إصدار النسخة النهائية وإعتمادها هو القوانين والتعليمات الجديد التي تصدر بتواتر عالي بالإضافة إلى التغيرات الكبيرة في بيئة العمل والتي يجب أن تعكسها تلك السياسات. نتوقع إعتماد السياسات والإجراءات المحدثة قبل منتصف العام الحالي.
١٠	٢٤<	متوسطة	تحديث دليل السياسات والإجراءات الخاص بالعمليات الائتمانية حيث تم تحديد نهاية العام الفائت موعدا لذلك، بما في ذلك تحديد الضمانات المقبولة لقاء تقديم تسهيلات ائتمانية وأسس منح التسهيلات دون ضمانة مقابلة، والمتطلبات المتعلقة بتجديد الملفات الائتمانية، المتطلبات والضوابط الداخلية الواجب اتباعها في بعض الحالات الاستثنائية مثل حالة وفاة العميل الممنوح تسهيلات ائتمانية.	لا جواب من الإدارة. الجواب السابق: نفس الرد السابق علماً أن دليل السياسات و الإجراءات هو قيد التحديث ولكن ما يؤخر إصدار النسخة النهائية وإعتمادها هو القوانين والتعليمات الجديد التي تصدر بتواتر عالي بالإضافة إلى التغيرات الكبيرة في بيئة العمل والتي يجب أن تعكسها تلك السياسات. نتوقع إعتماد السياسات والإجراءات المحدثة قبل منتصف العام الحالي.
١١	٢٤<	متوسطة	التزويد بالضوابط المعتمدة من قبل المصرف بخصوص منح تسهيلات لبعض العملاء ممن يتوافر حولهم معلومات سلبية تجاه تسديد التزاماتهم تجاه المصارف الاخرى .	لا جواب من الإدارة. الجواب السابق: نفس الرد السابق - يجب مسح هذه النقطة.